



STATE FRAUD STATEMENT

WASHINGTON

It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits.



POLICYHOLDER NOTICE

ECONOMIC AND TRADE SANCTIONS

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by the Office of Foreign Assets Control (OFAC).

THE OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") OF THE US DEPARTMENT OF THE TREASURY ADMINISTERS AND ENFORCES ECONOMIC AND TRADE SANCTIONS BASED ON US FOREIGN POLICY AND NATIONAL SECURITY GOALS AGAINST TARGETED FOREIGN COUNTRIES AND REGIMES, TERRORISTS, INTERNATIONAL NARCOTICS TRAFFICKERS, THOSE ENGAGED IN ACTIVITIES RELATED TO THE PROLIFERATION OF WEAPONS OF MASS DESTRUCTION, AND OTHER THREATS TO THE NATIONAL SECURITY, FOREIGN POLICY OR ECONOMY OF THE UNITED STATES.

WHENEVER COVERAGE PROVIDED BY THIS POLICY WOULD BE IN VIOLATION OF ANY U.S. ECONOMIC OR TRADE SANCTIONS, SUCH COVERAGE SHALL BE NULL AND VOID.

FOR MORE INFORMATION, PLEASE REFER TO:

[HTTPS://WWW.TREASURY.GOV/RESOURCE-CENTER/SANCTIONS/PAGES/DEFAULT.ASPX](https://www.treasury.gov/resource-center/sanctions/pages/default.aspx)

**POLICYHOLDER DISCLOSURE****NOTICE OF TERRORISM INSURANCE COVERAGE**

The Terrorism Risk Insurance Act established a program (Terrorism Risk Insurance Program) within the Department of the Treasury, under which the federal government shares, with the insurance industry, the risk of loss from future terrorist attacks. You are hereby notified that an "act of terrorism", as defined in Section 102(1) of the Terrorism Risk Insurance Act, as amended (the "Act"), means any act that is certified by the Secretary of the Treasury—in consultation with the Secretary of Homeland Security, and the Attorney General of the United States—to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. Under your coverage, any losses resulting from certified acts of terrorism may be partially reimbursed by the United States Government under a formula established by the Terrorism Risk Insurance Act, as amended. However, your policy may contain other exclusions which might affect your coverage, such as an exclusion for nuclear events. Under the formula, the United States Government generally reimburses 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019 and 80% beginning on January 1, 2020, of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. The Terrorism Risk Insurance Act, as amended, contains a \$100 billion cap that limits U.S. Government reimbursement as well as insurers' liability for losses resulting from certified acts of terrorism when the amount of such losses exceeds \$100 billion in any one calendar year. If the aggregate insured losses for all insurers exceed \$100 billion, your coverage may be reduced.

Please note that your policy includes the terrorism coverage required to be offered by the Act, and that no separate additional premium charge has been made for such terrorism coverage. The policy premium does not include any charges for the portion of losses covered by the United States government under the Act.

NOTICE TO BROKER**MANDATORY POLICYHOLDER DISCLOSURE****RE: TERRORISM INSURANCE COVERAGE**

We are required by the Terrorism Risk Insurance Act, as amended (the "Act"), to provide policyholders with clear and conspicuous disclosures. This notice must be provided at the time of offer and renewal of the policy.

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DECLARATIONS

SOLELY AS RESPECTS THOSE COVERAGES UNDER THIS POLICY WRITTEN ON A CLAIM EXPENSE / DEFENSE COSTS WITHIN THE LIMITS BASIS: THIS INSURANCE POLICY PROVIDES COVERAGE FOR CLAIM EXPENSE / DEFENSE COSTS WITHIN THE LIMITS OF INSURANCE. THE LIMITS OF INSURANCE AVAILABLE TO PAY DAMAGES / LOSS AND ANY APPLICABLE RETENTION WILL BE REDUCED AND MAY BE COMPLETELY EXHAUSTED BY PAYMENT OF CLAIM EXPENSE / DEFENSE COSTS AND THE INSURER SHALL NOT BE OBLIGATED TO PAY JUDGEMENTS, SETTLEMENTS, OR ANY OTHER COVERED AMOUNTS, INCLUDING CLAIM EXPENSE / DEFENSE COSTS, AFTER THE LIMITS OF INSURANCE HAVE BEEN EXHAUSTED.

SOLELY AS RESPECTS CLAIMS-MADE LIABILITY COVERAGES UNDER THIS POLICY: THIS INSURANCE POLICY PROVIDES COVERAGE ON A CLAIMS-MADE BASIS AND APPLIES ONLY TO CLAIMS FIRST MADE AGAINST THE INSURED DURING THE POLICY PERIOD OR ANY APPLICABLE EXTENDED REPORTING PERIOD. CLAIMS MUST BE REPORTED TO THE INSURER AS SET FORTH IN THE POLICY. CLAIM EXPENSE / DEFENSE COSTS ARE INCLUDED IN THE POLICY LIMIT OF INSURANCE, AND PAYMENT THEREOF WILL ERODE, AND MAY EXHAUST, THE POLICY LIMIT OF INSURANCE.

NAMED INSURED AND ADDRESS	Paula's Choice Inc. 605 5th Ave S, Suite 800 Seattle, WA 98104
BROKER OF RECORD	Aon Risk Services NE, Inc. -Middle Market Panel only [New York] 165 Broadway, Suite 3201, One Liberty Plaza New York, NY 10006

INSURER	AXIS Insurance Company (Admitted) 233 South Wacker Drive, Suite 4930 Chicago, IL 60606 (866) 259-5435 A Stock Insurer
POLICY FORM	AXIS PRIVATUS® PLATINUM - GENERAL TERMS AND CONDITIONS AXIS 1010502 0922 AXIS PRIVATUS® PLATINUM - EMPLOYMENT PRACTICES LIABILITY COVERAGE PART AXIS 1010504 1016 AXIS PRIVATUS® PLATINUM - WORKPLACE VIOLENCE COVERAGE PART AXIS 1010505 1016
POLICY NUMBER	P-001-001394232-02 <i>Renewal of: P-001-001394232-01</i>
POLICY PERIOD	Effective Date: 11/15/2025 Expiration Date: 11/15/2026 <i>Both dates at 12:01 a.m. at the Named Insured's address stated herein.</i>



TOTAL POLICY PREMIUM	\$55,361.00
MINIMUM EARNED PREMIUM <i>(percentage of Total Policy Premium)</i>	N/A

TERRORISM PREMIUM FOR CERTIFIED ACTS OF TERRORISM <i>(included in Total Policy Premium)</i>	Included for no additional premium
SURCHARGE / TAX <i>(included in Total Policy Premium)</i>	N/A

All Limits of Insurance below are aggregate amounts for the respective coverages unless otherwise noted.

POLICY LIMIT OF INSURANCE	
Policy Limit <i>(applicable to all Coverage Parts unless otherwise noted)</i>	\$5,350,000 Aggregate

EMPLOYMENT PRACTICES LIABILITY COVERAGE PART			
Coverage Part Limit of Insurance		\$5,000,000	
Claims-Made Coverages	Pending or Prior Date	Coverage Limit	Coverage Retention
Employment Practices Liability	11/15/2024	\$5,000,000	\$150,000 Each Claim
Third Party Liability	11/15/2024	\$5,000,000	\$150,000 Each Claim
Expense Coverages	Pending or Prior Date	Coverage Limit	Coverage Retention
Training Expense	11/15/2024	\$100,000 <u>Coinsurance</u> 15%	
IRCA Event Expense	11/15/2024	\$50,000	\$150,000 Each IRCA Event



WORKPLACE VIOLENCE COVERAGE PART			
Coverage Part Limit of Insurance		\$350,000	
Expense Coverages	Pending or Prior Date	Coverage Limit	Coverage Retention
Workplace Violence Expense	11/15/2024	\$350,000 <u>Recruitment Expense</u> <u>Sublimit</u> \$100,000	\$150,000 Each Workplace Violence Event
Stalking Expense	11/15/2024	\$250,000	\$150,000 Each Workplace Violence Event
Workplace Violence Business Interruption Expense	11/15/2024	\$50,000 <u>Indemnity Period</u> 90 days	\$150,000 Each Workplace Violence Event

**EXTENDED REPORTING PERIOD OPTIONS***(applicable to claims made coverages)*

Year	Percentage of Annualized Claims Made Premium
1 Year	100%
3 Year	150%
6 Year	200%

NOTICES TO INSURER*Send Notice of Claims To:*

AXIS Insurance
Claims Department
P.O. Box 4470
Alpharetta, GA 30023-4470

Email: USFNOL@axiscapital.com
Phone (Toll-Free): (866) 259-5435
Phone: (678) 746- 9000
Fax: (866) 770-5629

Send All Other Notices And Inquiries To:

AXIS Insurance
10000 Avalon Blvd.
Suite 200
Alpharetta, GA 30009

Email: notices@axiscapital.com
Phone (Toll-Free): (866) 259-5435
Phone: (678) 746- 9000
Fax: (678) 802-6161

SCHEDULE OF FORMS & ENDORSEMENTS		
Policyholder Notices and Policy Forms		Form Number and Edition Date
State Fraud Statement		AXIS 104 0415
Policyholder Notice - Economic And Trade Sanctions		AXIS 906 0316
Policyholder Disclosure - Notice Of Terrorism Insurance Coverage		TRIA DISCLOSURE 0115
AXIS Privatus® Platinum - General Terms and Conditions		AXIS 1010502 0922
AXIS Privatus® Platinum - Employment Practices Liability Coverage Part		AXIS 1010504 1016
AXIS Privatus® Platinum - Workplace Violence Coverage Part		AXIS 1010505 1016
Signature Page		AXIS 102AIC 0615
Endorsements		Form Number and Edition Date
1	Absolute Prior Knowledge Exclusion Endorsement	AXIS 1010510 0919
2	Additional Limit of Insurance for Defense Costs Endorsement	AXIS 1010567 1118
3	Workplace Violence Business Interruption Expense Coverage Endorsement	AXIS 1010584 0919
4	Biometric Data Privacy Claims Sublimit or Retention Endorsement	AXIS 1010660 1021
5	Cap on Losses from Certified Acts of Terrorism Endorsement	AXIS 1011040 0817
6	Washington Amendatory Endorsement	AXIS 1011060WA 0817
7	California Retentions Endorsement	AXIS 1011088 1021
8	Specific Entity or Individual Exclusion Endorsement	AXIS 1011305 1117
9	New Entity Added Endorsement	AXIS 1011313 1117
10	E-Discovery Endorsement	AXIS 1011699 1018
11	Application Reliance Endorsement	AXIS 140 0815
12	State Amendatory Inconsistency Endorsement	AXIS 141 0915
13	Cancellation And Nonrenewal Endorsement - Washington	AXIS 801WA 0615
14	IRCA Event Expense Coverage Endorsement	AXIS 1010541 0221
15	Policy Change Endorsement	AXIS 1010583A 0124
16	Employment Practices Liability Coverage Part Changes Endorsement	AXIS 1010583C 0124



GENERAL TERMS AND CONDITIONS

Except for section and paragraph headings, all words in bold have a special meaning as set forth in the **DEFINITIONS** section. Section and paragraph headings are provided for informational purposes only and do not have special meaning.

In consideration of payment of the premium, and subject to all provisions of this Policy and the DECLARATIONS and Endorsements attached to this Policy, all of which are made a part of this Policy, the Insurer designated in the DECLARATIONS will provide the Coverages included in each **Coverage Part** for which a Limit of Insurance is stated in the DECLARATIONS.

APPLICABILITY

Except as provided in a specific **Coverage Part**, these GENERAL TERMS AND CONDITIONS apply to all **Coverage Parts** of this Policy. The provisions of a particular **Coverage Part** apply only to that **Coverage Part**. In the event of a conflict between these GENERAL TERMS AND CONDITIONS and the provisions of a particular **Coverage Part**, the provisions in the **Coverage Part** will control for purposes of that **Coverage Part**.

DEFINITIONS

Whether expressed in the singular or the plural, whenever appearing in bold in this Policy, the following terms have the meanings set forth below.

Administration means the following activities with respect to any **Plan**: counseling or providing interpretations to participants, beneficiaries, or employees; determining or calculating benefits; handling records; effecting enrollments, terminations, amendments, or cancellations of participants or beneficiaries; or preparing or distributing notices.

Application means the written application for this Policy, if any, and all information and material submitted or made available by or on behalf of the **Insured** to the Insurer in connection with the underwriting of this Policy.

Benefits means any obligation under a **Plan** to a participant or beneficiary of a **Plan** to make a payment of money or property or to grant a privilege or perquisite.

Bodily Injury means physical injury to the body, or sickness or disease sustained by a person, including death resulting therefrom, including mental injury, mental anguish, emotional distress, shock, or fright, whether or not resulting from injury to the body, or sickness, disease, or death of any person.

Claim means:

1. a written demand, including a civil or criminal complaint or similar pleading or any appeal therefrom, for monetary relief or non-monetary or injunctive relief, including a written request to toll or waive a statute of limitations or engage in any alternative dispute resolution; and
2. solely with respect to the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART:
 - a. a notice of charges or notice of violation, indictment, information, arrest or confinement warrant, or similar charging document, or request for extradition by any **Government Authority**; or
 - b. a written notice of investigation or target letter by any **Government Authority** made (i) solely against any **Insured Individual**, or (ii) jointly against the **Insured Entity** and any **Insured Individual** identifying such **Insured Individual** as a person against whom a civil or criminal proceeding may be commenced; and
 - c. solely with respect to the **Directors & Officers Liability Coverage** and **Insured Entity Indemnification Coverage**, a subpoena or other written request for information by any **Government Authority** in connection with any covered **Claim** against another **Insured Individual** for a **Wrongful Act**;

3. solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, a fact-finding investigation by the Equal Employment Opportunity Commission, Office of Federal Contract Compliance Programs, or similar **Government Authority** that enforces any law prohibiting discrimination or harassment in employment or any **Similar Law** of a complaint or charge received by such agency alleging that the **Insured** has violated such law; and
4. solely with respect to the FIDUCIARY LIABILITY COVERAGE PART, a fact-finding investigation by the Employee Benefits Security Administration ("EBSA"), Pension Benefit Guaranty Corporation or similar **Government Authority** that enforces any **Employee Benefit Plan Law** of a complaint or charge received by such agency alleging that the **Insured** has violated such law.

Claim does not include:

- a. any routine or compliance audit by any **Government Authority**; or
- b. with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, any grievance or other proceeding under any collective bargaining agreement.

Claims-Made Liability Coverage means any Coverage designated as such in any **Coverage Part**.

Client means any entity or person to whom the **Insured Entity** has agreed to provide goods or services pursuant to a written contract or in exchange for a fee.

Computer Program means a set of related electronic instructions that direct and enable a **Computer System** to receive, process, store, retrieve, send, create, or otherwise act upon **Electronic Data**.

Computer System means computer hardware, software and all components thereof linked together through a network of devices accessible through the internet or the **Insured Entity's** intranet or connected with data storage or other peripheral devices that are operated by and either owned by or leased to the **Insured Entity** and used to collect, transmit, process, maintain, store, and retrieve **Electronic Data**.

Computer Transfer Fraud means the fraudulent entry of **Information** into or the fraudulent alteration of any **Information** within a **Computer System**.

Coverage Part means each Coverage Part designated in the DECLARATIONS as a part of this Policy.

Covered Property means **Money, Securities, or Property**.

Custodian means any **Employee** (other than a watchperson or janitor) or any natural person who is an **Owner** or a chief executive officer, chief financial officer, managing member or general partner of the **Insured Entity**, or their functional equivalents, while having care and custody of **Covered Property** inside the **Premises**.

Cyber Attack means the intentional and targeted release or insertion of any computer virus, malware, Trojan horse, worm, or other code, script, or software into the **Computer System** for the purpose of gaining or enabling unauthorized access to the **Computer System**.

Defense Costs means reasonable expenses incurred in investigating, opposing, defending, settling, or appealing covered **Claims**, whether paid by the Insurer or by the **Insured** with the Insurer's consent, including attorney and expert fees; court costs; alternative dispute resolution costs; the cost of appeal bonds or release attachment bonds for amounts within the applicable Limit of Insurance, but the Insurer does not have to furnish these bonds; and expenses incurred by an **Insured Individual** at the Insurer's request, excluding loss of earnings, salaries, benefits, and other compensation paid to any **Insured**.

Discovery or **Discovered** means the moment when any **Insured Executive** acquires knowledge that would cause a reasonable person to believe that a loss of a type covered under this Policy has occurred or will occur, regardless of whether the amount or details of such loss are known or unknown.

Electronic Data means facts or information converted to a form which is usable in a **Computer System** and stored on electronic processing media for use by a **Computer Program**.

Employee means:

1. with respect to the CRIME COVERAGE PART, any natural person who is:
 - a. employed by the **Insured Entity** on a full-time, part-time, temporary, seasonal, volunteer, intern, or leased basis, and whose labor or service is directed solely by the **Insured Entity**, including any such person (i) up to 90 days after termination of his or her employment by the **Insured Entity** or (ii) while on leave of absence; or
 - b. a duly elected or appointed member of the **Insured Entity's** board of directors, board of trustees, board of managers, or equivalent management board;provided that **Employee** does not include any agent, broker, or commission merchant of the **Insured Entity**, or any independent contractor of the **Insured Entity** unless described in item a or b above or added by endorsement to this Policy; or
2. with respect to all **Coverage Parts** other than the CRIME COVERAGE PART, any natural person who was or is:
 - a. employed by the **Insured Entity** on a full-time, part-time, temporary, seasonal, volunteer, intern, or leased basis, and whose labor or service during such employment was or is directed solely by the **Insured Entity**; or
 - b. contracted by the **Insured Entity** to provide labor or services solely for the **Insured Entity** during the contract term; and
3. solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, an applicant for prospective employment by the **Insured Entity**.

Employee Benefit Plan Law means any law that regulates employee welfare, pension, or benefit plans, including the Employee Retirement Income Security Act of 1974, as amended, ("ERISA"), the United Kingdom's Pension Scheme Act 1993 or Pensions Act 2004, or Canada's Pension Benefit Standards Act, 1985, or any **Similar Law**.

Employment Benefits means perquisites, fringe benefits, deferred compensation, retirement or medical benefits, vacation days, sick days, stock, stock options, or other rights or payments (including insurance premiums) in connection with a **Plan** or arising out of the employment relationship; but **Employment Benefits** does not include salary, wages, commissions, or non-deferred cash incentive compensation.

ERISA Penalties means:

1. civil penalties assessed under the following sections of ERISA: section 502(c); section 502(i), but only the penalty of up to 5% of any transaction; or section 502(l)(1)(A), but only the penalty of up to 20% of any applicable recovery amount; or
2. fines or penalties assessed for any unintentional and non-willful violation of any foreign **Employee Benefit Plan Law** that prohibits conduct similar to the conduct prohibited by the ERISA sections listed in item 1 above, provided that no part of the premium for this Policy has been funded, paid, or reimbursed from the funds or assets of any **Sponsored Plan**.

ERISA Plan means any **Sponsored Plan** that is required to be bonded under Title I of ERISA.

Event means a **Securityholder Derivative Event**, **Plan Violation Event**, **Workplace Violence Event**, or **Stalking Event**.

Expense Coverage means any Coverage identified as such in any **Coverage Part**.



Extended Reporting Period means a designated period immediately following cancellation or nonrenewal of the Policy during which **Claims** first made against the **Insureds** will be deemed made during the **Policy Period**, but only for **Wrongful Acts** or **Related Wrongful Acts** that first occurred prior to the effective date of cancellation or nonrenewal.

Financial Impairment means the status of an organization resulting from:

1. the appointment by any **Government Authority** of any receiver, trustee, examiner, conservator, liquidator, rehabilitator, or similar official to take control of, supervise, manage or liquidate the organization; or
2. the organization becoming a debtor in possession within the meaning of the United States Bankruptcy Code or similar legal status under foreign law.

Financial Institution means any depository institution (including any bank, savings bank, savings and loan association, trust company or credit union), stock brokerage firm, or investment company in which a **Transfer Account** is maintained.

First Inception Date means the inception date of the earliest insurance policy the Insurer issued to the **Named Insured** that provides coverage similar to the Coverage afforded under this Policy when there has been uninterrupted coverage by the Insurer for the **Named Insured** from that earliest policy to this Policy.

Forgery or **Forged** means the alteration of or signing another person's name on a written instrument with the intent to deceive. Mechanically or electronically produced or reproduced signatures will be treated the same as hand-written signatures.

Government Authority means any federal, state, local, or foreign government, including any court, regulator, administrator, or similar body thereof.

HIPAA Penalties means civil penalties assessed for violations of any privacy provision of the Health Insurance Portability and Accountability Act of 1996 (HIPAA), the Patient Protection and Affordable Care Act, or the Health Care and Education Reconciliation Act of 2010, all as amended.

Information means **Electronic Data** and **Computer Programs**.

Insured means the **Insured Entity** and the **Insured Individuals** and, solely with respect to the FIDUCIARY LIABILITY COVERAGE PART, the **Sponsored Plans**.

Insured Entity means, individually and collectively:

1. the **Named Insured** and any **Subsidiary**, including any such entity as a debtor in possession within the meaning of the United States Bankruptcy Code or similar legal status under foreign law; and
2. solely with respect to the FIDUCIARY LIABILITY COVERAGE PART, any duly constituted committee or board established by the **Named Insured** or any **Subsidiary** or **Sponsored Plan**; and
3. solely with respect to the CRIME COVERAGE PART any **Sponsored Plan** or **Insured Joint Venture**.

Insured Executive means:

1. any **Insured Individual** while serving as the **Insured Entity's** chairperson of the board of directors, president, chief executive officer, chief financial officer, in-house general counsel, or risk manager; and
2. solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, the **Insured Entity's** head of human resources;
3. solely with respect to the FIDUCIARY LIABILITY COVERAGE PART, the **Insured Entity's** head of benefits; and
4. solely with respect to the CRIME COVERAGE PART, the **Insured Entity's** head of human resources and the non-administrative personnel of the human resources department and risk management department; or



5. the functional equivalents of any of the foregoing.

Insured Individual means any natural person who was or is:

1. a duly elected or appointed director or officer of any **Insured Entity** that is a corporation, a manager or managing member of any **Insured Entity** that is a limited liability company, or a general partner or managing partner of any **Insured Entity** that is a partnership or joint venture;
2. a duly elected or appointed trustee of the **Insured Entity** or member of any duly constituted board or committee of the **Insured Entity**; or
3. an **Employee**, other than an applicant for prospective employment by the **Insured Entity**, to whom the **Insured Entity** provides indemnification for **Loss** arising from any **Claim** for his or her **Wrongful Act**; or
4. the functional equivalents of any of the foregoing.

Insured Joint Venture means any joint venture managed solely by the **Named Insured** or any **Subsidiary** in which the **Named Insured** or **Subsidiary** has an equity interest of 50% or less, as of the effective date of this Policy, or after the effective date of this Policy, subject to the **New and Former Entities** condition below; provided that with respect to covered loss of such **Insured Joint Venture**, the Insurer will pay only for that percentage of covered loss equal to the percentage of the **Named Insured's** or **Subsidiary's** equity interest in the **Insured Joint Venture**.

IRC Tax means the 15% tax on a prohibited transaction pursuant to section 4975 of the Internal Revenue Code.

Loss means:

1. monetary judgments, awards, or settlements, including pre-judgment interest, post-judgment interest, statutory, punitive, multiplied or exemplary damages, attorney's fees, and costs included as part of a judgment or award, and **Defense Costs**; and
2. solely with respect to the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART, fines or penalties, insurable under the law applicable to this Policy, imposed on the **Insured Individual** for any unintentional and non-willful violation of law, including such penalties under 15 U.S.C. §78dd-2(g)(2)(B) or 78ff(c)(2)(B) of the Foreign Corrupt Practices Act;
3. solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, front pay and back pay included as part of a judgment or award, and liquidated damages awarded under the Age Discrimination in Employment Act, Equal Pay Act, or Family Medical Leave Act; and
4. solely with respect to the FIDUCIARY LIABILITY COVERAGE PART, **ERISA Penalties**, **HIPAA Penalties**, and **IRC Tax**.

In determining the insurability of punitive, exemplary, or multiplied damages or any other **Loss** defined above, the insurability of which is dependent on the law applicable to this Policy, the law of the jurisdiction most favorable to the insurability of such amounts will apply; provided that such jurisdiction is (i) where such amounts were awarded or imposed; (ii) where the **Wrongful Act** underlying the **Claim** took place; (iii) where either the Insurer or any **Insured** is incorporated, has its principal place of business, or resides; or (iv) where this Policy was issued or became effective.

Loss does not include:

- a. amounts for which the **Insured** is legally or financially absolved from payment;
- b. fines or penalties imposed on the **Insured**, except as otherwise set forth in items 2 through 4 above or in any **Coverage Part**;
- c. amounts incurred to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize **Pollutants**;



- d. charges, commissions, compensation, costs, fees, or profits, that the **Insured** becomes liable to return or disgorge, including any sums representing such amounts or the return or disgorgement of such sums;
- e. amounts uninsurable under the law applicable to this Policy;
- f. amounts, other than **Defense Costs**, for which the **Insured** becomes liable pursuant to an order or agreement granting non-monetary or injunctive relief;
- g. amounts for which the **Insured** becomes liable due to an actual or alleged breach of any contract, representation, warranty, guarantee, or other agreement, unless the **Insured** would be liable for such amounts in the absence of such contract, representation, warranty, guarantee, or other agreement; provided this shall not apply:
 - (1) to the **Directors & Officers Coverage** and the **Insured Entity Indemnification Coverage** in the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART;
 - (2) under the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, to **Defense Costs** for which the **Insured** becomes liable due to an actual or alleged breach of any written employment contract or agreement; or
 - (3) under the FIDUCIARY LIABILITY COVERAGE PART, to **Defense Costs** for which the **Insured Entity** becomes liable due to an actual or alleged breach of any contract or agreement to fund or make contributions to a **Sponsored Plan**;
- h. solely with respect to the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART, amounts representing the increase in the consideration paid or proposed to be paid by the **Insured Entity** in connection with any merger, acquisition, combination, capital stock exchange, asset acquisition, stock purchase, reorganization, recapitalization, or similar business transaction, including, but not limited to, any transaction described in the **Change in Control or New and Former Entities** condition below, or the purchase of any securities or assets or any amount representing such consideration; and
- i. solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART:
 - (1) future salary, wages, commissions, or **Employment Benefits** of any person who is hired, promoted, or reinstated to employment pursuant to an adjudication or settlement of any **Claim**;
 - (2) compensation earned by any person but not paid, including salary, wages, commissions, severance payments, and **Employment Benefits**; or
 - (3) payroll or other taxes.

Management Control means the **Named Insured** directly or indirectly (i) owns more than 50% of the issued and outstanding voting equity securities of an entity or (ii) controls voting rights representing the present right to elect or appoint more than 50% of the directors or trustees of an entity.

Merchandise means the **Insured Entity's** inventory, raw materials, work-in-progress, or products manufactured or distributed by the **Insured Entity**.

Messenger means any natural person duly authorized by the **Insured Entity** to have care and custody of property outside the **Premises**.

Money means currency, coins, bullion, or bank notes in current use and having a face value; or travelers' checks, register checks, or money orders held for sale to the public. **Money** does not include any virtual or digital currency of any kind, by whatever name known, whether or not recognized as legal tender.

Named Insured means the entity designated as such in the DECLARATIONS.

Outside Entity means any non-profit entity.



Outside Position means the position of director, officer, trustee, or other equivalent executive position held by an **Insured Individual** in an **Outside Entity** if service in such position (i) takes place while such **Outside Entity** is not under **Management Control** and (ii) is with the express consent and knowledge of the **Insured Entity**.

Owner means any natural person who owns 25% or more of any corporation, has an ownership interest in any limited liability company, or is a partner of any partnership.

Plan means the **Sponsored Plans** and any government-mandated insurance program that provides workers' compensation, unemployment insurance, social security, or disability benefits for the **Insured Entity's** employees.

Plan Violation Event means any violation of **Employee Benefit Plan Law** that is eligible for correction under any **Voluntary Correction Program**.

Policy Period means the period designated as such in the DECLARATIONS, subject to earlier termination, as set forth in the Policy.

Pollutant means any substance located anywhere in the world exhibiting any hazardous characteristics as defined by or identified on a list of hazardous substances issued by any **Government Authority**, including but not limited to the United States Environmental Protection Agency. **Pollutant** also includes any other air or water emission, odor, waste water, oil or oil product, infectious or medical waste, asbestos or asbestos-containing material, lead or lead-containing material, noise, electric, magnetic, or electromagnetic field, fungi, mycotoxins, viruses, bacteria, or microbes or any other biological contaminant released into the atmosphere. **Pollutants** may take any form including, but not limited to, solids, liquids, gases, thermal or radiological irritants or contaminants, smoke, vapor, soot, fumes, acids, alkalis, silica, chemicals, or waste materials.

Premises means:

1. with respect to the CRIME COVERAGE PART:
 - a. the interior portion of a building occupied by the **Insured Entity** to conduct the **Insured Entity's** business, except this does not apply to the **Theft of Client's Property Coverage**;
 - b. with respect to the **Theft of Client's Property Coverage**, the interior portion of a building occupied by the **Client** to conduct the **Client's** business or occupied by a **Financial Institution** of the **Client**;
 - c. solely with respect to the **Theft of Insured Entity's Coverage**, the interior portion of a building occupied by the **Financial Institution** of the **Insured Entity**; and
 - d. solely with respect to a **Financial Institution**, the night depository chute or safe maintained by such **Financial Institution**; and
2. with respect to the WORKPLACE VIOLENCE COVERAGE PART, buildings, facilities, or property occupied by the **Insured Entity** in conducting its business.

Property means tangible property that has intrinsic value but does not include **Information**, **Money**, **Premises**, or **Securities**.

Recruitment Expense means the reasonable costs of a recruiter for a 90-day period incurred by the **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written approval of the Insurer for the purpose of replacing an **Insured Individual** who dies or becomes disabled due to a **Workplace Violence Event**.

Related Claim means all **Claims** arising out of a single **Wrongful Act** or **Related Wrongful Acts**.

Related Event means all **Events** arising out of a single **Event** or **Related Securityholder Derivative Events**, **Related Plan Violation Events**, **Related Workplace Violence Events**, or **Related Stalking Events**.

Related Plan Violation Event means all **Plan Violation Events** that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

Related Securityholder Derivative Event means all **Securityholder Derivative Events** that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

Related Stalking Event means all **Stalking Events** that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

Related Workplace Violence Event means all **Workplace Violence Events** that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

Related Wrongful Act means all **Wrongful Acts** that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

Restoration Expense means the actual and necessary costs incurred by or on behalf of the **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written approval of the Insurer to recover or restore **Information** from the **Insured Entity's** analysis files, specifications, or backups of **Electronic Data** that are located in the **Premises**. **Restoration Expense** does not include:

1. costs to recover, reconstruct, or restore **Information** if the **Insured Entity** knowingly uses illegal copies of programs;
2. costs to design, create, research, or develop **Information**, including without limitation software and trade secrets;
3. costs to update, upgrade, or enhance **Information**; or
4. costs to replace any computer system, or to identify or remove software program errors, malware, computer viruses or vulnerabilities.

Robbery means the unlawful taking of property from a **Custodian** by a person who caused or threatened to cause physical harm to the **Custodian** or committed an obviously unlawful act witnessed by the **Custodian**.

Safe Burglary means the unlawful taking of property from a locked vault or safe by forcible or violent entry into, evidenced by visible marks on, such vault or safe.

Securities means negotiable and non-negotiable instruments or contracts representing either **Money** or **Property**, including tokens, tickets, or revenue or other stamps (whether represented by actual stamps or unused value in a meter) in current use; or evidences of debt issued in connection with credit or charge cards that are not issued by the **Insured Entity**. **Securities** does not include **Money**, any registered or coupon obligations, or any non-fungible tokens or other cryptographic assets that exist on a blockchain and cannot be replicated.

Securityholder Derivative Event means:

1. a written demand by one or more securityholders of the **Insured Entity**:
 - a. pursuant to Section 220 of the Delaware General Corporation Law or any similar statute in any other jurisdiction, to inspect the **Insured Entity's** books and records in connection with a justiciable **Wrongful Act** by an **Insured Individual**; or
 - b. upon the board of directors or equivalent governing body of the **Insured Entity** to bring a civil proceeding in a court of law against one or more **Insured Individuals** for a **Wrongful Act**; or



2. a lawsuit by a securityholder of the **Insured Entity** brought derivatively on behalf of the **Insured Entity** against any **Insured Individual** for a **Wrongful Act** without first making a demand as described in item b above.

Securityholder Derivative Event Expense means reasonable costs incurred by **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written approval of the Insurer to investigate or evaluate a **Securityholder Derivative Event** or seek a dismissal thereof in the **Insured Entity's** capacity as a nominal defendant.

Similar Law means any amendment to or rule, regulation, or order promulgated under such law, or any similar federal, state, local, or foreign common law or statutory law that regulates or governs the same subject, including any amendment to or rule, regulation, or order promulgated thereunder.

Sponsored Plan means any employee welfare, pension, or benefit plan, subject to the **New and Former Entities** condition below, established anywhere in the world that:

1. with respect all **Coverage Parts** other than the CRIME COVERAGE PART, is or was; or
2. with respect to the CRIME COVERAGE PART, is;

sponsored solely by the **Named Insured** or any **Subsidiary** or jointly by the **Named Insured** or any **Subsidiary** and a labor organization solely for the benefit of employees or **Insured Individuals** of the **Named Insured** or such **Subsidiary**, including any health insurance plan purchased by the **Named Insured** or any **Subsidiary** through an exchange established for the purchase and sale of health insurance pursuant to the Patient Protection and Affordable Care Act; but **Sponsored Plan** does not include any multiemployer plan or employee stock ownership plan unless such plan is added by endorsement to this Policy.

Stalking Event means repeated, verifiable, and credible acts of following or harassing and threatening to cause physical harm to an **Insured Individual** by another person.

Stalking Expense means reasonable costs incurred by or on behalf of the **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written approval of the Insurer to retain one or more independent consultants to provide threat assessment or threat management services to the **Insured** for up to 90 days after a **Stalking Event** occurs.

Subsidiary means any entity, other than a **Sponsored Plan**, and subject to the **New and Former Entities** condition below, that:

1. with respect to all **Coverage Parts** other than the CRIME COVERAGE PART, is or was under **Management Control**; or
2. with respect to the CRIME COVERAGE PART, is under **Management Control**.

Theft means the unlawful taking of property to the deprivation of the **Insured Entity** or a **Client**, including **Forgery** and, with respect to any **ERISA Plan**, larceny, theft, embezzlement, forgery, misappropriation, wrongful abstraction, wrongful conversion, willful misapplication, and other acts where losses result through any act or arrangement prohibited by 18 U.S.C. § 1954.

Training Expense means reasonable costs incurred by or on behalf of the **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written consent of the Insurer to provide workplace educational, sensitivity, or diversity training or protected class development programs required by any judgment or settlement of a **Claim**.

Transfer Account means an account maintained by an **Insured Entity** or, with respect to the **Theft of Client's Property Coverage**, a **Client** at a **Financial Institution** from which the **Insured Entity** or **Client**, as applicable, can initiate the transfer, payment, or delivery of **Money** or **Securities**.



Transfer Instruction means:

1. with respect to the **Social Engineering Fraud Coverage** in the CRIME COVERAGE PART, a telephone, written, or electronic instruction from a **Client**, **Employee**, or **Vendor** to transfer, pay, or deliver **Money** or **Securities** from the **Premises** or a **Transfer Account**; or
2. with respect to the **Funds Transfer Fraud Coverage** in the CRIME COVERAGE PART, only an instruction (other than a covered instrument) from the **Insured Entity** directing a **Financial Institution** to pay, transfer, or deliver **Money** or **Securities** from a **Transfer Account**.

Vendor means any person or entity (other than a **Financial Institution** or armored motor vehicle company) that provides goods or services to the **Insured Entity** pursuant to a written contract.

Voluntary Correction Expense means:

1. attorney and expert fees and costs incurred by or on behalf of the **Insured** in excess of the **Insured's** normal operating costs and with the prior written approval of the Insurer in connection with a **Plan Violation Event**; and
2. application costs, fines, penalties, or taxes assessed against or imposed on the **Insured** in connection with a **Voluntary Correction Program**.

Voluntary Correction Expense does not include amounts to correct a **Plan Violation Event** or amounts incurred in connection with any audit of any **Plan**.

Voluntary Correction Program means any voluntary correction program to correct a **Plan Violation Event** that is available under any **Employee Benefit Plan Law** and administered by the Internal Revenue Service, the Department of labor, the Pension benefit Guarantee Corporation, or similar Government Authority that regulates employee welfare, benefit or pension plans.

Wage & Hour Law means any law regulating or governing payroll practices and policies, the payment of wages, or recordkeeping or labor standards affecting employees, including the Fair Labor Standards Act, or any **Similar Law**; provided that solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, **Wage & Hour Law** does not include the Equal Pay Act.

Workplace Violence Event means an intentional and unlawful act in or on the **Premises** involving the use or threat of use of a deadly weapon that caused or could have caused the death of any natural person.

Workplace Violence Expense means reasonable costs incurred by or on behalf of the **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written approval of the Insurer to retain one or more independent consultants to provide workplace violence recovery, security, or prevention-related services to the **Insured Entity** for up to 90 days after a **Workplace Violence Event**, and **Recruitment Expense**.

Wrongful Act means:

1. with respect to the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART:
 - a. any actual or alleged error, misstatement, misleading statement, act, omission, neglect, or breach of duty by:
 - (1) an **Insured Individual** in his or her capacity as such or in an **Outside Position**; or
 - (2) the **Insured Entity**, with respect to the **Insured Entity Liability Coverage**; or
 - b. any matter claimed against an **Insured Individual** solely by reason of his or her status as such or in an **Outside Position**;
2. with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, only a **Wrongful Employment Act** or **Wrongful Third Party Act**; or

3. with respect to the FIDUCIARY LIABILITY COVERAGE PART:

- a. any actual or alleged violation by the **Insured** of any of the responsibilities, obligations, or duties imposed by any **Employee Benefit Plan Law** on fiduciaries of any **Sponsored Plan**, including any actual or alleged negligent act, error, or omission in the election or monitoring of any third-party service provider to any **Sponsored Plan**;
- b. any actual or alleged negligent act, error, or omission by the **Insured** in the **Administration** of any **Plan**; or
- c. any matter claimed against an **Insured** by reason of such **Insured's** status as a fiduciary of any **Sponsored Plan**.

Wrongful Employment Act means any actual or alleged:

1. discrimination or sexual or other harassment, including bullying, in the workplace in violation of any law that prohibits such conduct, or any **Similar Law**, or based on gender identity or expression or sexual orientation;
2. wrongful demotion, discharge, dismissal, termination (either actual or constructive), or adverse change in the terms, conditions or status of employment;
3. wrongful failure to employ, promote, or grant tenure;
4. wrongful discipline, evaluation, deprivation of a career opportunity, or negative reference;
5. employment-related misrepresentation;
6. employment-related defamation, libel, or slander;
7. employment-related invasion of privacy, including the unauthorized use or disclosure of an **Employee's** (i) medical information in violation of HIPAA or any **Similar Law**; (ii) credit information in violation of the Fair Credit Reporting Act or any **Similar Law**; or (iii) other information obtained through a background check;
8. breach of any oral, written, or implied employment contract;
9. retaliation in employment for exercising any legally protected right or engaging in any legally protected activity; or
10. failure to adopt adequate employment-related policies and procedures; negligent hiring, training, supervision, or retention of employees; false arrest, detention, or imprisonment; malicious prosecution; or wrongful infliction of emotional distress, mental anguish, or humiliation; but only when alleged in connection with items 1 through 9 above;

committed by an **Insured** against an **Employee** by any means, including via the internet by postings to social media sites, whether or not such internet activity is during or after work hours or on or off the work premises.

Wrongful Third Party Act means any actual or alleged discrimination or harassment, whether sexual or otherwise, in violation of a person's civil rights, committed by an **Insured** against any person other than an **Employee**.

EXCLUSIONS

Exclusions Applicable to All Claims-Made Liability Coverages

The **Claims-Made Liability Coverages** do not apply to **Claims**:

Cyber

based upon or arising out of any actual or alleged **Cyber Attack** or release, disclosure, theft, or loss of or the failure to prevent the release, disclosure, theft, or loss of confidential information or non-public personal information; except this exclusion does not apply:

1. with respect to the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART:
 - a. to the **Directors & Officers Liability Coverage**; or
 - b. to any **Claim** brought and maintained by one or more securityholders of the **Insured Entity** in their capacity as such; or
2. to the FIDUCIARY LIABILITY COVERAGE PART.

Violation of Consumer Protection Law

based upon or arising out of any actual or alleged violation of any law that regulates or governs commercial solicitation or messaging or automatic contract renewals, including but not limited to the Telephone Consumer Protection Act, Canadian Radio-Television and Telecommunications Act, CAN-SPAM Act of 2003, Canadian Anti-Spam Law of 2010, California Automatic Renewal Law, or any **Similar Law**.

Violation of Employment Benefit Plan Law

based upon or arising out of any actual or alleged violation of any **Employee Benefit Plan Law**; except this exclusion does not apply:

1. to any **Claim** for retaliation covered under the **Employment Practices Liability Coverage** in the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART; or
2. to the FIDUCIARY LIABILITY COVERAGE PART.

Violation of Wage & Hour Law

based upon or arising out of any actual or alleged violation of **Wage & Hour Law**; except this exclusion does not apply to any **Claim** for retaliation covered under the **Employment Practices Liability Coverage** in the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART.

LIMITS OF INSURANCE, RETENTIONS, AND REIMBURSEMENT

A. Limits of Insurance

1. Crime Coverage Part

The Coverage Limits for Each Loss stated in the DECLARATIONS for the CRIME COVERAGE PART ("Coverage Limit") is the most the Insurer will pay under each respective Coverage for each loss or, with respect to the **Legal Expense, Restoration Expense, and Investigation Expense Coverage** ("Expense Coverages"), for all covered costs in connection with each loss or event described in such Expense Coverage. If a single loss is covered under more than one Coverage, excluding any Expense Coverage, the Limit of Insurance that applies to such loss will not exceed the highest Coverage Limit that applies.

2. All Coverage Parts Except the Crime Coverage Part

The Insurer's liability under all **Coverage Parts** excluding the CRIME COVERAGE PART will not exceed the respective Limits of Insurance stated in the DECLARATIONS no matter how many **Insureds** are covered; **Claims** are made against the **Insureds**; or **Wrongful Acts** or **Events** occur.

a. Policy Limit of Insurance

The Policy Limit of Insurance stated in the DECLARATIONS ("Policy Limit") is the most the Insurer will pay under this Policy for all applicable **Coverage Parts**.

b. **Shared Limits of Insurance**

Subject to the Policy Limit, any Shared Limit of Insurance stated in the DECLARATIONS ("Shared Limit") is the most the Insurer will pay under all applicable **Coverage Parts, Claims-Made Liability Coverages, or Expense Coverages** for all amounts that are subject to such Shared Limit.

c. **Coverage Part Limits of Insurance**

Subject to the Policy Limit and any applicable Shared Limit, any Coverage Part Limit of Insurance ("Coverage Part Limit") stated in the DECLARATIONS is the most the Insurer will pay under each respective **Coverage Part**.

d. **Coverage Limits of Insurance**

Subject to the Policy Limit and any applicable Shared Limit and Coverage Part Limit, each Coverage Limit stated in the DECLARATIONS is the most the Insurer will pay under each respective **Claims-Made Liability Coverage or Expense Coverage**.

- (1) If multiple **Claims-Made Liability Coverages** apply to the same **Claim**, the Limit of Insurance that applies to such **Claim** will not exceed the highest Coverage Limit available under any one **Claims-Made Liability Coverage** that applies.
- (2) **Defense Costs** are part of, and not in addition to, the Coverage Limits for the **Claims-Made Liability Coverages**, and payment of **Defense Costs** by the **Insurer** reduces and may totally exhaust such Limits of Insurance.
- (3) No **Extended Reporting Period** reinstates or increases the Coverage Limits for the **Claims-Made Liability Coverages**.

e. **Sublimits of Insurance**

Each Sublimit of Insurance, if any, stated in the DECLARATIONS ("Sublimit") is the most the Insurer will pay for all **Loss** or other covered amounts that are subject to such Sublimit. All Sublimits are part of, and not in addition to, all other applicable Limits of Insurance.

B. **Retentions and Coinsurance**

If a Retention or Coinsurance is stated in the DECLARATIONS, the **Insureds** are responsible for payment of such Retention or Coinsurance, which will be borne by the **Insureds** uninsured and at their own risk. The Insurer's obligation to pay under this Policy is excess of the applicable Retention and Coinsurance. The Limits of Insurance will not be reduced by payment of any Retention or Coinsurance.

If multiple Coverages or Retentions apply to a single **Claim, Event**, or loss, the Retention that applies to such **Claim, Event**, or loss will not exceed the highest Retention that applies to such **Claim, Event**, or loss.

No Retention applies to **Loss** that the **Insured Individual** is legally obligated to pay if such **Loss** is not indemnified by the **Insured Entity** because the **Insured Entity** either is not legally permitted to provide such indemnification or is unable to provide such indemnification by reason of **Financial Impairment**.

C. **Reimbursement**

If the Insurer pays amounts in excess of any applicable Limit of Insurance, in excess of the Insurer's obligation to pay pursuant to the **DEFENSE AND SETTLEMENT OF CLAIMS** section, or in connection with any **Claim** for which this Policy does not afford coverage, or if the Insurer has paid part or all of the Retention, the Insurer will have the right to seek recovery from the **Insureds** for any such amounts.

DEFENSE AND SETTLEMENT OF CLAIMS

Except as otherwise set forth below, the **Insureds** will not settle or offer to settle any **Claim**, pay any **Loss**, incur any **Defense Costs**, admit or assume any liability, stipulate to any judgment or award, or otherwise assume any contractual obligation with respect to a **Claim**, without the Insurer's prior written consent, which shall not be unreasonably withheld. Notwithstanding the foregoing, if all applicable **Insureds** are able to fully and finally dispose with prejudice such **Claim** for an amount, including **Defense Costs**, within the remaining applicable Retention, then the Insurer's consent will not be required for such disposition.

A. Insurer's Duty to Defend

Except as otherwise set forth in this Policy, the Insurer will have the right and duty to defend any covered **Claim** even if the allegations are groundless, false, or fraudulent. The Insurer's right and duty to defend any **Claim** ends when the applicable Limit of Insurance has been exhausted.

The Insurer will have the right to appoint legal counsel on the **Insured's** behalf and to investigate and settle such **Claim** as the Insurer deems necessary, provided the Insurer will not settle a **Claim** without the **Insured's** consent, which shall not be unreasonably withheld.

The **Insureds** will have the right, at their own expense, to associate with the Insurer in the defense of any such **Claim**.

B. Insured's Duty to Defend

If any **Claim** alleging a covered **Wrongful Act** also alleges that the **Insured** has violated any **Wage & Hour Law**, it shall be the duty of the **Insured** to defend such **Claim** in accordance with paragraph C below. The Insurer will have no duty to defend such **Claim**.

C. When the Insured Defends

When the **Insured** defends any **Claim**:

Counsel appointed by the **Insured** to defend any **Claim** must be selected from the Insurer's then current list of approved defense firms in the jurisdiction in which the **Claim** is made. If no such list or approved counsel exists, the **Insured** must obtain the Insurer's consent to the **Insured's** selection of counsel prior to the appointment of such counsel, such consent not to be unreasonably withheld. Counsel employed by the **Insured** shall comply with all litigation and billing standards and procedures requested by the Insurer.

The Insurer will have the right and will be given the opportunity to effectively associate with the **Insureds** in the investigation, defense, and settlement of the **Claim**.

The Insurer will advance **Defense Costs** on a current basis; provided that to the extent it is finally determined that this Policy would not cover **Defense Costs** in connection with such **Claim**, the **Insureds**, severally according to their interests, shall repay such **Defense Costs** to the Insurer.

REPORTING OF CLAIMS AND EVENTS

A. When a Claim is Made or an Event Occurs

1. With respect to any **Claims-Made Liability Coverage**, a **Claim** will be deemed to be first made on the earlier of:
 - a. the date of any **Insured Executive's** receipt of notice of such demand, request, notice, investigation, or letter if such **Claim** is a written demand, request for information, notice of charges or violation, notice of investigation, target letter, or fact-finding investigation; or

- b. the date of service upon or other receipt by any **Insured Executive** of a complaint, pleading, appeal, indictment, information, or warrant in any such proceeding, if such **Claim** is a civil proceeding, criminal proceeding, arbitration, or alternative dispute resolution proceeding.

All **Related Claims**, whenever made, will be considered a single **Claim** and such **Claim** will be deemed to have been made on the date the first of those **Related Claims** was made against any **Insured**.

2. With respect to the **Expense Coverages** and the WORKPLACE VIOLENCE COVERAGE PART, an **Event** will be deemed to occur when the **Event** becomes known to any **Insured Executive**.

All **Related Events**, whenever occurring, will be considered a single **Event** and such **Event** will be deemed to have occurred on the date the first of those **Related Events** occurred.

B. Reporting of Claims and Events

It is a condition precedent to coverage under:

1. all **Claims-Made Liability Coverages**, that as soon as practicable after any **Insured Executive** becomes aware of any **Claim**, the **Insured** must notify the Insurer thereof in writing, but in no event later than 90 days after the end of the **Policy Period** or, with respect to a **Claim** made during the **Extended Reporting Period**, if applicable, no later than the expiration thereof.
2. the **Expense Coverages** and the WORKPLACE VIOLENCE COVERAGE PART, that as soon practicable after any **Insured Executive** becomes aware of any **Event**, the **Insured** must immediately notify the Insurer thereof in writing, but in no event later than 30 days after such **Event** first occurs. Such notice must contain known details concerning the person or entity making or responsible for the **Event** and all reasonably obtainable information concerning the time, place, and other details thereof.
3. the CRIME COVERAGE PART, that:
 - a. within 90 days after **Discovery**, the **Named Insured** must notify the Insurer in writing of loss or an occurrence that could lead to covered loss; and
 - b. at the earliest practicable moment, but in no event later than 6 months after **Discovery**, the **Named Insured** must furnish a proof of loss with full particulars to the Insurer. Proof of loss must include either the original or a certified copy of any instrument or instruction involved in the loss.

C. Reporting of Circumstances under Claims-Made Liability Coverages

If during the **Policy Period** or the **Extended Reporting Period**, if applicable, an **Insured** gives the Insurer written notice of any **Wrongful Act**, act, error, omission, fact, or circumstance that occurred before the end of the **Policy Period** and is reasonably likely to give rise to a **Claim** with full details of:

1. such **Wrongful Act**, act, error, omission, fact, or circumstance including any available information on persons or entities involved;
2. the nature and extent of the potential damages and the names of the potential claimants; and
3. the manner in which the **Insured** first became aware of such **Wrongful Act**, act, error, omission, fact, or circumstance;

then any such **Claim** subsequently arising out of such **Wrongful Act**, act, error, omission, fact or circumstance will be deemed to have been made during the policy period in which such notice was given. In order for coverage to apply to any such **Claim**, the **Insured** must provide notice to the Insurer of such **Claim** in accordance with paragraph B above. No coverage will be provided for any **Defense Costs** incurred prior to the time such **Claim** is made unless otherwise authorized in writing by the Insurer.

EXTENDED REPORTING PERIODS

No **Extended Reporting Period** will be construed to be a new policy and any **Claim** submitted during an **Extended Reporting Period** will be subject to the Policy's terms and conditions, except as specifically set forth below. All **Claims** made during an **Extended Reporting Period** must be reported in accordance with the **REPORTING OF CLAIMS AND EVENTS** section.

A. Automatic Extended Reporting Period

If the **Named Insured** cancels or nonrenews this Policy or the Insurer nonrenews this Policy, the **Insureds** will have an automatic, non-cancelable 90-day **Extended Reporting Period**. This automatic **Extended Reporting Period** is not available if the **Named Insured** elects an optional **Extended Reporting Period**, or if the **Named Insured** obtains another insurance policy that applies to such **Claim** within such 90 day period.

B. Optional Extended Reporting Period

If the **Named Insured** cancels or nonrenews this Policy or the Insurer nonrenews this Policy, the **Named Insured** will have the right to purchase an optional **Extended Reporting Period** to immediately follow the effective date of cancellation or nonrenewal.

The optional **Extended Reporting Periods** and their respective additional premiums are stated in the DECLARATIONS. The Insurer must receive written notice of the optional **Extended Reporting Period** elected together with payment of the applicable additional premium, within 60 days after the end of the **Policy Period**. If the Insurer does not receive payment within such period, the Insurer will not be required to provide any optional **Extended Reporting Period**. Premium for the optional **Extended Reporting Period** will be fully earned on the effective date thereof. Once in effect, the optional **Extended Reporting Period** may not be canceled.

C. A **Claim** reported in writing to the Insurer during the **Extended Reporting Period** will be deemed to have been made on the last day of this **Policy Period**.

D. No **Extended Reporting Period** reinstates or increases the Limits of Insurance.

CONDITIONS

Action Against the Insurer

No action may be taken against the Insurer unless, as a condition precedent thereto, there has been full compliance with all of the terms of this Policy by all **Insureds**, nor until the amount of the **Insured's** obligation to pay has been fully determined either by judgment or award against the **Insured** after trial or arbitration or by written agreement among the **Insureds**, the claimant and the Insurer.

Solely with respect to the CRIME COVERAGE PART no action may be taken against the Insurer earlier than 90 days after proof of loss has been furnished or later than two years after **Discovery**.

No person or organization will have any right under this Policy to join the Insurer as a party to any action against the **Insured** to determine the **Insured's** liability, nor will the Insurer be impleaded by the **Insured** or the **Insured's** legal representative.

Advancement

The Insurer, at its sole discretion, may pay any **Loss** within the applicable Retention, and in such event, the **Insureds** shall have a direct and immediate obligation to reimburse the Insurer for all such payments up to the applicable Retention.



Allocation

If in any **Claim**, the **Insureds** who are afforded coverage for such **Claim** incur **Loss** jointly with others (including other **Insureds**) who are not covered for such **Claim** or incur an amount consisting of both covered **Loss** and loss that is not covered by this Policy because such **Claim** includes both covered and uncovered matters, the following shall apply.

1. If the Insurer has the duty to defend such **Claim**:
 - a. the Insurer shall pay 100% of the **Defense Costs** incurred for such **Claim**, and
 - b. the **Insureds** and the Insurer agree to use their best efforts to determine a fair and reasonable allocation of the remaining amounts between covered **Loss** and uncovered loss. Such allocation shall take into account the relative legal and financial exposures of the parties to covered and uncovered matters.
2. If the **Insured** has the duty to defend such **Claim**, the **Insured** and the Insurer agree to use their best efforts to determine a fair and reasonable allocation of such amounts between covered **Loss** and uncovered loss. Such allocation shall take into account the relative legal and financial exposures of the parties to covered and uncovered matters. If the **Insureds** and the Insurer cannot agree on an allocation of **Defense Costs**, the Insurer will pay, on a current basis, **Defense Costs** that the Insurer believes to be covered until a different allocation is negotiated, arbitrated, or judicially determined. Any such allocation will be applied retroactively to all **Defense Costs** on account of such **Claim** but will not apply to or create any presumption with respect to the allocation of other amounts arising from such **Claim** or any other **Claim**.

Assignment

Assignment of any right or interest under this Policy will not bind the Insurer unless and until the Insurer's written consent is endorsed hereon.

Assistance and Cooperation

All **Insureds** will provide the Insurer with all information, assistance, and cooperation that the Insurer reasonably requests and will do nothing that in any way increases the Insurer's exposure under this Policy or in any way prejudices the Insurer's potential or actual rights of recovery. No **Insured** will, except at the **Insured's** own cost, voluntarily make a payment, admit liability, assume any obligation, or incur any expense without the Insurer's prior written consent.

The failure of the **Insured Entity** or an **Insured Individual** to comply with this condition will not be imputed to another **Insured Individual**, and only the failure of any **Insured Executive** to comply with this condition will be imputed to the **Insured Entity**.

Authorization of Named Insured

The **Named Insured** is responsible for payment of all premiums and retentions. The **Named Insured** has exclusive authority to act on behalf of all other **Insureds** with respect to accepting endorsements to this Policy, providing and receiving notices of cancellation or nonrenewal, receiving any return premium, and purchasing any optional **Extended Reporting Period**.

Bankruptcy

The bankruptcy or insolvency of any **Insured** or of any **Insured Individual's** estate will not relieve the Insurer of the Insurer's obligation under this insurance. In the event of bankruptcy or insolvency of an **Insured Entity**, the **Insureds** shall waive and release any automatic stay or injunction in such proceeding that may apply to this Policy or its proceeds and agree not to oppose or object to any efforts by the Insurer or any **Insured** to obtain relief from any such stay or injunction.



Cancellation and Nonrenewal

1. Cancellation

- a. The **Named Insured** may cancel this Policy by mailing or delivering written notice of cancellation to the Insurer at its address stated in the DECLARATIONS. Such notice will state the effective date of cancellation or, if no effective date is stated, the effective date of cancellation will be 10 days after the Insurer's receipt of notice. The **Policy Period** will end on that date.
- b. The Insurer may cancel this Policy only for non-payment of premium. In such event, the Insurer will mail or deliver written notice of cancellation for non-payment of premium to the **Named Insured** at its address stated in the DECLARATIONS, at least 20 days before the effective date of cancellation.

If this Policy is canceled, the Insurer will return to the **Named Insured** any unearned premium, calculated pro rata, but the return of premium to the **Named Insured** is not a condition precedent to cancellation.

2. Nonrenewal

The Insurer may elect not to renew this policy by mailing or delivering written notice of nonrenewal to the **Named Insured** at its address stated in the DECLARATIONS, at least 60 days before the end of the **Policy Period**. If notice of nonrenewal is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

Change in Control

If during the **Policy Period**:

1. the **Named Insured** completes an initial public offering of securities registered with the Securities and Exchange Commission or merges or consolidates with another entity such that the **Named Insured** is not the surviving entity; or
2. any person, entity, or group of persons or entities acting in concert acquires:
 - a. majority voting control of or the right to elect, appoint, or designate at least 50% of the directors or equivalent executives of the **Named Insured**;
 - b. securities which result in such person, entity or group owning more than 50% of the issued and outstanding voting securities of the **Named Insured**; or
 - c. all or substantially all of the assets of the **Named Insured**;

("Change in Control") coverage under this Policy will apply as follows:

- i. Coverage will continue under the CRIME COVERAGE PART to the end of the **Policy Period**.
- ii. Coverage will continue under the **Claims-Made Liability Coverages** to the end of the **Policy Period**, but only with respect to **Wrongful Acts** that occurred prior to the effective date of the Change in Control.
- iii. Coverage will cease under the **Expense Coverages** and the WORKPLACE VIOLENCE COVERAGE PART as of the effective date of the Change in Control with respect to **Events** first occurring after the effective date of the Change in Control.

The **Financial Impairment** of the **Named Insured** will not be deemed a Change in Control under this condition.

Changes to the Policy

Notice or knowledge possessed by any person will not effect a waiver or a change in any part of this Policy or estop the Insurer from asserting any rights under the terms of this Policy, nor will the terms of this Policy be waived or changed except by written endorsement issued to form a part of this Policy.

Legal Representatives, Spouses, or Domestic Partners

The legal representatives, estate, heirs, spouse or domestic partner of any **Insured Individual** will be considered to be an **Insured** under this policy, but only for a **Claim** against such person arising solely out of their status as such and, with respect to a spouse or domestic partner, only where such **Claim** seeks amounts from marital community, jointly held property or property transferred from such insured to such spouse or domestic partner. No coverage is provided for any act, error, or omission committed by any legal representative, estate, heir, spouse, or domestic partner. The term "domestic partner" as used in this condition means any natural person recognized by law or by the **Insured Entity** as a domestic partner or partner in a civil union.

New and Former Entities

1. If during the **Policy Period**, the **Named Insured** creates, acquires, or merges with a new entity or obtains **Management Control** of any entity, then this Policy will provide coverage for such entity and its subsidiaries, directors, officers, trustees, and employees who would otherwise become **Insureds** pursuant to the provisions of this Policy, but only for **Wrongful Acts** or **Events** occurring or loss **Discovered** on or after the effective date of such transaction.
2. If before or during the **Policy Period** an **Insured Entity** other than the **Named Insured** ceases to be an **Insured Entity**, the **Claims-Made Liability Coverage** afforded by this Policy will continue to the end of the **Policy Period** with respect to such former **Insured Entity** and its subsidiaries, directors, officers, trustees, and employees who were **Insureds** pursuant to the provisions of this Policy, but only for **Wrongful Acts** or **Events** occurring before the date such entity ceased to be an **Insured Entity**.
3. Under the FIDUCIARY LIABILITY COVERAGE PART, a **Sponsored Plan** will be deemed to have ceased being an **Insured Entity** on the final date the assets of such **Sponsored Plan** are distributed.
4. Under the CRIME COVERAGE PART, coverage terminates immediately with respect to any entity for loss **Discovered** after the date the entity ceases to be an **Insured Entity**.

Notices

Except as otherwise provided in this Policy, all notices under this Policy must be in writing and delivered by prepaid express courier or certified mail, facsimile, or electronic mail to the appropriate party at the street address, fax number, or email address, as applicable, designated in the DECLARATIONS. Notices to the **Insureds** will be given to the **Named Insured**. Notice will be deemed to be received and effective upon actual receipt by the addressee or one day following the date such notice is sent, whichever is earlier.

Other Insurance

If there is any other valid and collectible insurance available to the **Insured** that applies to **Loss** covered under this Policy, this insurance shall be excess over such other insurance, except when the other insurance is specifically written excess of this Policy.

Payments

The Insurer will be entitled to pay **Loss** and other covered amounts as they become due and payable under this Policy without consideration of other future payment obligations. However, if **Loss** exceeds the remaining applicable Limit of Insurance, or in the event of the **Financial Impairment** of the **Insured Entity**, the Insurer will first pay **Loss** that the **Insured Individual** is legally obligated to pay that is not indemnified by the **Insured Entity** because the **Insured Entity** either is not legally permitted to provide such indemnification or is unable to provide such indemnification by reason of **Financial Impairment**.

**Premium**

The **Named Insured** will pay the Premium stated in the DECLARATIONS. As may be agreed upon by the **Named Insured** and the Insurer or as otherwise provided in this Policy, the Premium may be adjusted at any time during the **Policy Period** or any extensions of the **Policy Period** based upon changes in the provisions of this Policy.

Presumptive Indemnification

The **Insured Entity** agrees to indemnify the **Insured Individuals** to the fullest extent permitted by law.

Representations and Severability

The Insurer has relied on the statements made and information in the **Application** and the accuracy and completeness of such statements and information. Such statements and information are the basis for the Insurer's issuance of this Policy and are incorporated in and constitute a part of this Policy and have induced the Insurer to issue this policy.

If the **Application** contains any misrepresentation that either was made with the intent to deceive or materially affected either the acceptance of the risk or the hazard assumed by the Insurer, then no coverage will be provided under this Policy for any **Claims** or **Events** based upon or arising out of the facts that were misrepresented with respect to:

1. any **Insured Individual** who knew, as of the inception of the **Policy Period**, of such facts, whether or not such **Insured Individual** knew the **Application** contained the misrepresentation; or
2. the **Insured Entity**, to the extent it indemnifies an **Insured Individual** described in item 1 above; or
3. the **Insured Entity**, if any **Insured Executive** knew, as of the inception of the **Policy Period**, of such facts, whether or not such **Insured Executive** knew the **Application** contained the misrepresentation.

For purposes of applying this condition, the knowledge of the **Insured Entity** or an **Insured Individual** will not be imputed to any other **Insured Individual**.

Rescission

The Insurer shall not seek to rescind this Policy or any **Coverage Part** for any reason.

Subrogation and Recovery

In the event of any payment under this Policy, the Insurer will be subrogated to the extent of such payment to all the **Insured's** rights of recovery thereof, and the **Insureds** will execute and deliver all instruments and papers required and do whatever else is necessary to secure, and will do nothing to prejudice, such rights. The Insurer, however, will not exercise its right of subrogation against any **Insured Individual** unless the **Illegal Profit or Conduct** exclusion in paragraph A in the **EXCLUSIONS** section in the MANAGEMENT AND LIABILITY COVERAGE PART applies to such **Insured Individual**.

Territory, Valuation and Currency

The coverage afforded under this Policy applies anywhere in the world, where legally permissible.

If a judgment is rendered, settlement is denominated or another element of loss under this Policy is stated in a currency other than United States dollars, payment under this Policy will be made in United States dollars at the rate of exchange published in *The Wall Street Journal* on the date the judgment becomes final or payment of the settlement or other element of loss is due, unless otherwise set forth in this Policy.

All monetary amounts under this Policy are expressed and payable in the currency of the United States.

SIGNATURE PAGE FOLLOWS.



EMPLOYMENT PRACTICES LIABILITY COVERAGE PART

Except for section and paragraph headings, all terms in bold have a special meaning as set forth in the **DEFINITIONS** section in the GENERAL TERMS AND CONDITIONS. Section and paragraph headings are provided for informational purposes only and do not have special meaning.

Subject to all provisions of this **Coverage Part** and the Policy, the Insurer will provide those Coverages below for which a Limit of Insurance is stated in the DECLARATIONS.

CLAIMS-MADE LIABILITY COVERAGES

A. Employment Practices Liability Coverage

The Insurer will pay **Loss** that the **Insured** becomes legally obligated to pay on account of a **Claim** by or on behalf of an **Employee** first made against the **Insured** during the **Policy Period** or the **Extended Reporting Period**, if applicable for a **Wrongful Employment Act** committed by an **Insured** or by a person for whom the **Insured** is legally liable.

B. Third Party Liability Coverage

The Insurer will pay **Loss** that the **Insured** becomes legally obligated to pay on account of a **Claim** first made against the **Insured** during the **Policy Period** or the **Extended Reporting Period**, if applicable, for a **Wrongful Third Party Act** committed by an **Insured** or by a person for whom the **Insured** is legally liable.

It is a condition precedent to the **Claims-Made Liability Coverage** that:

1. all **Wrongful Acts** take place prior to the end of the **Policy Period**;
2. all **Claims** are reported to the Insurer in writing in accordance with the **REPORTING OF CLAIMS AND EVENTS** section in the GENERAL TERMS AND CONDITIONS;
3. as of the **First Inception Date** of the Coverage, no **Insured Executive** had given notice to any insurer of any **Related Claim** or any act, error, omission, fact, or circumstance, including any **Related Wrongful Act**, reasonably likely to give rise to such **Claim**;
4. as of the Pending or Prior Date stated in the DECLARATIONS or, if none, the **First Inception Date** of the Coverage, no **Insured Executive** knew that any **Related Claim** had been made or that any act, error, omission, fact, or circumstance, including any **Related Wrongful Act**, was reasonably likely to give rise to such **Claim**.

EXPENSE COVERAGES

Training Expense Coverage

The Insurer will pay **Training Expense** that the **Insured** becomes legally obligated to pay pursuant to a judgment or settlement of a covered **Claim**, for up to 2 years from the date of such judgment or settlement.

EXCLUSIONS

This **Coverage Part** does not apply to **Claims**:

Bodily Injury & Property Damage

1. for **Bodily Injury**, other than mental anguish, humiliation, or emotional distress; or



2. for damage to or destruction of any tangible property or electronic data, including loss of use of any such property or data whether or not it is damaged or destroyed.

Violation of Labor Law

for an actual or alleged violation of any law governing or regulating:

1. the rights of employees with respect to unions, unionizing, or collective activities in the workplace, or any obligations of employers with respect to such employee activities, including but not limited to the National Labor Relations Act or any **Similar Law**;
2. the obligations of an employer to notify, discuss, or bargain with its employees or others in advance of any plant or facility closing or mass layoff, or any similar obligation, including, but not limited to, the Worker Adjustment and Retraining Notification Act or any **Similar Law**;
3. workplace safety and health, including, but not limited to, the Occupational Safety and Health Act or any **Similar Law**; or
4. workers' compensation, unemployment insurance, social security, or disability benefits, or any **Similar Law**;

except this exclusion does not apply to any **Claim** for retaliation covered under the **Employment Practices Liability Coverage**.

CONDITIONS

Retention Credit

If within 10 days after a **Claim** is first made against an **Insured** the **Insured** reports such **Claim** to the Insurer in accordance with the **REPORTING OF CLAIMS AND EVENTS** section in the GENERAL TERMS AND CONDITIONS, the Retention applicable to that **Claim** will be reduced by 10%; except that this provision does not apply to any **Claim** arising out of circumstances reported to the Insurer pursuant to the **Reporting of Circumstances under Claims-Made Liability Coverage** in such section.



WORKPLACE VIOLENCE COVERAGE PART

Except for section and paragraph headings, all terms in bold have a special meaning as set forth in the **DEFINITIONS** section in the GENERAL TERMS AND CONDITIONS. Section and paragraph headings are provided for informational purposes only and do not have special meaning.

Subject to all provisions of this **Coverage Part** and this Policy, the Insurer will provide those Coverages below for which a Limit of Insurance is stated in the Declarations.

COVERAGES

A. Workplace Violence Expense Coverage

The Insurer will pay the **Insured Entity** for **Workplace Violence Expense** arising from any **Workplace Violence Event** taking place during the **Policy Period**.

B. Stalking Expense Coverage

The Insurer will pay the **Insured Entity** for **Stalking Expense** arising from any **Stalking Event** taking place during the **Policy Period**.

It is a condition precedent to the coverage afforded by this **Coverage Part** that:

1. the **Insured Entity** notifies the Insurer of the **Workplace Violence Event** or **Stalking Threat** in accordance with the **REPORTING OF CLAIMS AND EVENTS** section in the GENERAL TERMS AND CONDITIONS and Conditions;
2. as of the **First Inception Date** of the Coverage, no **Insured Executive** had given notice to any insurer of any **Related Event** or any act, error, omission, fact, or circumstance reasonably likely to give rise to such **Workplace Violence Event** or **Stalking Event**;
3. as of the Pending or Prior Date stated in the DECLARATIONS or, if none, the **First Inception Date** of the Coverage no **Insured Executive** knew that any **Related Event** had occurred, or that any act, error or omission, fact or circumstance, including any **Related Workplace Violence Event** or **Related Stalking Event**, was reasonably likely to give rise to such **Workplace Violence Event** or **Stalking Event**.

EXCLUSIONS

This **Coverage Part** does not apply to:

Robbery

Workplace Violence Expense arising from any **Workplace Violence Event** occurring in connection with a demand for money, securities, or other property.



SIGNATURE PAGE

IN WITNESS WHEREOF, the Insurer has caused this policy to be issued by affixing hereto the facsimile signatures of its President and Secretary.

A handwritten signature in black ink, appearing to read "Andrew Weissert". The signature is fluid and cursive, with a large, sweeping flourish at the end.

Andrew Weissert, Secretary

A handwritten signature in black ink, appearing to read "Michael McKenna". The signature is fluid and cursive, with a large, sweeping flourish at the end.

Michael McKenna, President



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
1	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

ABSOLUTE PRIOR KNOWLEDGE EXCLUSION ENDORSEMENT

It is agreed that solely with respect to the following **Coverage Parts** or coverages:

AXIS Privatus® Platinum - Employment Practices Liability Coverage Part AXIS 1010504
All Claims-Made Liability Coverages
All Claims-Made Liability Coverages and Expense Coverages

The following is added to the **EXCLUSIONS** section:

Prior Knowledge

This Policy does not apply to **Claims** based upon or arising out of any act, error, omission, fact, circumstance, or **Wrongful Act**, of which, as of 11/15/2024, any **Insured** or **Insured Individual** had knowledge, and which reasonably could give rise to a **Claim**.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
2	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

ADDITIONAL LIMIT OF INSURANCE FOR DEFENSE COSTS ENDORSEMENT

It is agreed that:

A. The following is added to the DECLARATIONS:

SCHEDULE OF ADDITIONAL LIMIT FOR DEFENSE COSTS	
ADDITIONAL LIMIT OF INSURANCE FOR DEFENSE COSTS	\$1,000,000 applicable to Employment Practices Liability Coverage Part

B. The following is added to paragraph A. **Limits of Insurance** in the **LIMITS OF INSURANCE, RETENTIONS, AND REIMBURSEMENT** section in the GENERAL TERMS AND CONDITIONS:

In addition to all other Limits of Insurance that apply to **Defense Costs** under each **Coverage Part** identified in the Schedule of Additional Limit for Defense Costs stated in the DECLARATIONS (Schedule), the Additional Limit of Insurance for Defense Costs stated in the Schedule shall apply only after no limit remains available for **Defense Costs** under such **Coverage Parts** and only to **Defense Costs** arising from **Claims** under such **Coverage Parts** for which no **Loss** has been paid or incurred by or on behalf of any **Insured**.

All other provisions of this Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
3	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

WORKPLACE VIOLENCE BUSINESS INTERRUPTION EXPENSE COVERAGE ENDORSEMENT

It is agreed that solely with respect to the Workplace Violence Liability **Coverage Part**:

A. The following is added to the DECLARATIONS:

Expense Coverages	Pending or Prior Date	Coverage Limit	Coverage Retention
Workplace Violence Business Interruption Expense	11/15/2024	\$50,000 Aggregate <u>Indemnity Period</u> 90 days	\$150,000 Each Workplace Violence Event

B. The following is added to the **EXPENSE COVERAGES** section:

Workplace Violence Business Interruption Expense Coverage

The Insurer will pay **Workplace Violence Business Interruption Expense** incurred during the **Indemnity Period** arising from the unavoidable disruption of the **Insured Entity's** business operations resulting directly from a **Workplace Violence Event** taking place during the **Policy Period** or directly from an order by a **Government Authority** prohibiting access to the **Premises** due, in whole or in part, to such **Workplace Violence Event**.

It is a condition precedent to the **Workplace Violence Business Interruption Expense Coverage** that:

1. the **Insured Entity** notifies the Insurer of the disruption of the **Insured Entity's** business operations in accordance with the **REPORTING OF CLAIMS AND EVENTS** section in the GENERAL TERMS AND CONDITIONS and the **CONDITIONS** section below;
2. as of the **First Inception Date** of the Coverage, no **Insured Executive** had given notice to any insurer of any **Related Event** or any act, error, omission, fact, or circumstance reasonably likely to give rise to the disruption of the **Insured Entity's** business operations; and
3. as of the Pending or Prior Date stated in the DECLARATIONS or, if none, the **First Inception Date** of the Coverage no **Insured Executive** knew that any **Related Event** had occurred, or that any act, error or omission, fact or circumstance, including any **Related Disruption of the Insured Entity's Business Operations** was reasonably likely to give rise to the disruption of the **Insured Entity's** business operations.

C. The **DEFINITIONS** section is amended as follows:

1. The following is added to the definition of **Event**:

Event also means a disruption of the **Insured Entity's** business operations.

2. Solely with respect to the **Workplace Violence Business Interruption Expense Coverage**:

- a. The definition of **Indemnity Period** is replaced with the following:

Indemnity Period means the maximum number of consecutive days beginning immediately after the **Workplace Violence Event** for which the Insurer will pay **Workplace Violence Business Interruption Expense**, as set forth in the DECLARATIONS.

b. The definition of **Premises** is replaced with the following:

Premises means buildings, facilities, or property occupied by the **Insured Entity** in conducting its business.

c. The definition **Workplace Violence Event** is replaced with the following:

Workplace Violence Event means an intentional and unlawful act in or on the **Premises** involving the use or threat of use of a deadly weapon that caused or could have caused the death of any natural person.

3. The following definitions are added:

- **Workplace Violence Business Interruption Expense** means:

a. The sum of:

- (1) net profit before income taxes that would have been earned had no disruption of the **Insured Entity's** business operations occurred, which shall be determined using standard accounting procedures, based on the **Insured Entity's** GAAP financial results in the fiscal year immediately preceding the **Workplace Violence Event**, and
- (2) reasonable costs incurred by the **Insured Entity**, in excess of its normal operating expenses, to promptly resume business operations with substantially the same quality of service which existed immediately preceding the disruption of the **Insured Entity's** business operations, including costs to secure alternate or temporary locations, resources, and services for such purpose;

b. less the sum of:

- (1) all recoveries, insurance, suretyship and other indemnity which would cover loss described in paragraph a above in the absence of this coverage; and
- (2) the amount by which the **Insured Entity** fails to reduce loss described in paragraph a above through any reasonable measures.

Workplace Violence Business Interruption Expense does not include income that would likely have been earned as a result of an increase in volume of business due to favorable business conditions, including, but not limited to, those caused by the impact of an interruption to other businesses.

- **Related Disruptions of the Insured Entity's Business Operations** means all disruptions of the **Insured Entity's** business operations that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

D. The following is added to the **EXCLUSIONS** section:

The **Workplace Violence Business Interruption Expense Coverage** does not apply to:

Indirect or Consequential Loss

any consequential loss that may accompany a disruption of the **Insured Entity's** business operations, including, but not limited to, loss arising from:

1. loss of market share, harm to business reputation, or loss of goodwill;
2. cancellation, suspension, abrogation, or breach of a contract to which the **Insured Entity** is a party.

**Loss after Expiration of Indemnity Period**

any **Workplace Violence Business Interruption Expense** incurred after the earlier of the resumption of the **Insured Entity's** business operations or the expiration of the **Indemnity Period**;

Robbery

any **Workplace Violence Business Interruption Expense** arising from any **Workplace Violence Event** occurring in connection with a demand for money, securities, or other property.

E. The following is added to the **CONDITIONS** section:

With respect to the **Workplace Violence Business Interruption Expense Coverage**:

Experts

The **Named Insured** and Insurer each will have the right to demand that an expert determine the amount of covered **Workplace Violence Business Interruption Expense**. If the **Named Insured** or the Insurer makes a written request for an expert opinion, each will select a competent independent expert and notify the other of the expert's identity within 20 business days. The two experts will then select a competent impartial umpire. The experts will then determine and state separately the amount of **Workplace Violence Business Interruption Expense**. If the experts agree on a calculated amount as the **Workplace Violence Business Interruption Expense**, the amount agreed upon will be the **Workplace Violence Business Interruption Expense**. If the experts fail to agree within a reasonable time, they will submit only their differences to the umpire. A written agreement, itemized and signed by any two of these three will determine the amount of the **Workplace Violence Business Interruption Expense**. Each expert will be paid by the party selecting the expert and the compensation of the umpire will be paid equally by the **Named Insured** and the Insurer. The use of such experts does not impact the Insurer's right to deny coverage.

Mitigation

The **Insured Entity** shall:

- a. notify the proper authorities of the **Workplace Violence Event**;
- b. take all reasonable steps to protect the **Premises** and to minimize any **Workplace Violence Business Interruption Expense**, including without limitation those steps to:
 - i. secure the **Premises**;
 - ii. cooperate with law enforcement; and
 - iii. record all expenses for emergency and temporary measures to secure the **Premises**.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
4	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

BIOMETRIC DATA PRIVACY CLAIMS SUBLIMIT OR RETENTION ENDORSEMENT

It is agreed that solely with respect to any **Coverage Part** or Coverage set forth below:

Employment Practices Liability

A. Any Sublimit of Insurance or Retention displayed below is added to the DECLARATIONS:

Sublimit of Insurance	Retention*
\$100,000 For all Loss for all Privacy Regulation Claims	\$150,000 Each Privacy Regulation Claim
<i>*This Retention does not apply to the Directors & Officers Liability Coverage or Insured Individual Liability Coverage, if applicable</i>	

B. If one or more **Coverage Parts** are set forth above, the **DEFINITIONS** section in the GENERAL TERMS AND CONDITIONS is amended by replacing the definition of **Privacy Regulation Claim** with the following or, if there is no such definition, by adding the following definition. Otherwise, the following is added to the **DEFINITIONS** section:

Privacy Regulation Claim means any **Claim** based upon or arising out of any actual or alleged violation of any of the responsibilities, obligations, or duties imposed by any law that regulates the collection, use, safeguarding, handling, storage, retention, or destruction of biometric identifiers and information, including the Illinois Biometric Information Privacy Act or any **Similar Law**.

C. If **Loss** for a **Privacy Regulation Claim** is subject to multiple Sublimits of Insurance, the Sublimit of Insurance that applies to such **Loss** will be the lowest Sublimit of Insurance that applies to such **Loss**.

D. If a **Privacy Regulation Claim** is subject to multiple Retentions, the Retention that applies to such **Privacy Regulation Claim** will be the highest Retention that applies to such **Privacy Regulation Claim**.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
5	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM ENDORSEMENT

It is agreed that:

I. The following definition is added:

Certified act of terrorism means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a **certified act of terrorism** include the following:

1. The act resulted in Insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. Under your coverage, any losses resulting from a **certified act of terrorism** may be partially reimbursed by the United States Government under a formula established by the Terrorism Risk Insurance Act. Under the formula, the United States Government generally reimburses 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019 and 80% beginning on January 1, 2020, of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. The Terrorism Risk Insurance Act, as amended, contains a \$100 billion cap that limits U.S. Government reimbursement as well as insurers' liability for losses resulting from certified acts of terrorism when the amount of such losses exceeds \$100 billion in any one calendar year.

If aggregate Insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case Insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

- II. The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for any loss or damage which would otherwise be excluded under this policy.

All other provisions of the policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
6	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

WASHINGTON AMENDATORY ENDORSEMENT

It is agreed that:

- A. The definition of **Loss** is amended by deleting “In determining the insurability of punitive, exemplary, or multiplied damages, or any other **Loss** defined above, the law of the jurisdiction most favorable to the insurability of such amounts will apply, provided that such jurisdiction is(i) where such amounts were awarded or imposed; (ii) where the **Wrongful Act** underlying the **Claim** took place; or (iii) where either the Insurer or any **Insured** is incorporated, has its principal place of business, or resides.”
- B. The second paragraph in the **Representations and Severability** condition is amended as follows:
1. The word “either” and the phrase “or materially affected either the acceptance of the risk or the hazard assumed by the Insurer” are deleted.
 2. Items 1 and 3 are amended by deleting all words appearing after the phrase “of such facts”.
- C. The following is added to the **Subrogation and Recovery** condition:

The **Insured** will be completely reimbursed for **Loss** before the Insurer is entitled to subrogation proceeds and the Insurer’s right to subrogation will not exceed the extent of the Insurer’s payment.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
7	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

CALIFORNIA RETENTIONS ENDORSEMENT

It is agreed that:

A. The DECLARATIONS are amended as follows:

The following Retentions are added to each **Claims-Made Liability Coverages** in the Employment Practices Liability Coverage Part schedule:

- \$350,000 for each **California Claim**.

B. The following definitions are added to the **DEFINITIONS** section

- **California Claim** means any **Claim**:
 1. brought by any California governmental agency that regulates or enforces California's civil rights laws; or
 2. subject to any substantive law of California, whether or not such **Claim** is brought in the state of California.
- **Los Angeles County, California Claim** means any **California Claim** brought in Los Angeles County.

C. If a **California Claim** or **Los Angeles County, California Claim** is subject to multiple Retentions, the Retention that applies to such **California Claim** or **Los Angeles County, California Claim** will be the highest Retention that applies to such **California Claim** or **Los Angeles County, California Claim**.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
8	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

SPECIFIC ENTITY OR INDIVIDUAL EXCLUSION ENDORSEMENT

It is agreed that solely with respect to the **Coverage Parts** listed below:

AXIS Privatus® Platinum - Employment Practices Liability Coverage Part AXIS 1010504

AXIS Privatus® Platinum - Workplace Violence Coverage Part AXIS 1010505

The following Exclusion is added:

This **Coverage Part** does not apply to any **Claim** brought by or on behalf of the person or entity listed below:

[Unilever United States, Inc. and Conopco, Inc] including any subsidiary, director, or officer of any of the foregoing

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
9	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

NEW ENTITY ADDED ENDORSEMENT

It is agreed that solely with respect to the **Coverage Parts** or coverages:

AXIS Privatus® Platinum - Employment Practices Liability Coverage Part AXIS 1010504
AXIS Privatus® Platinum - Workplace Violence Coverage Part AXIS 1010505

The following is added to the definition of **Insured Entity**:

Insured Entity also means each entity shown in the SCHEDULE OF INSURED ENTITIES below, including any such entity as a debtor in possession within the meaning of the United States Bankruptcy Code or similar legal status under foreign law, as of the respective Effective Date set forth therein; provided that the coverage afforded by this Policy to each such **Insured Entity** and its **Insured Individuals** is subject to any respective Limit, Retention, or Pending or Prior Date set forth in the Schedule.

SCHEDULE OF INSURED ENTITIES				
Insured Entity	Effective Date	Pending or Prior Date	Limits	Retentions
1) Dermallogica LLC 2) Tatcha LLC 3) K18, Inc 4) Aquis, LLC 5) Kingdom Animalia LLC DBA Hourglass Cosmetics 6) Living Proof Inc 7) Murad LLC 8) Paula's Choice LLC	11/15/2025	11/15/2024	Please refer to the Declarations.	Please refer to the Declarations.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
10	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

E-DISCOVERY ENDORSEMENT

It is agreed that the following is added to the definition of **Defense Costs**:

Defense Costs includes reasonable expenses of an electronic discovery consultant to develop processes and technologies for the identification, collection, and production of electronically stored information for use in a covered **Claim**, whether paid by the Insurer or by the **Insured Entity** with the Insurer's consent.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
11	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

APPLICATION RELIANCE ENDORSEMENT

It is agreed that this policy shall be deemed to include any materials and application forms submitted by or on behalf of the **Insured** to another insurance carrier, if subsequently also submitted to the Insurer in connection with the underwriting of this policy. Representations contained in such materials and applications shall be deemed to be made directly to the Insurer with the intent that the Insurer rely upon the accuracy and completeness of such information in its decision to issue this policy.

All other provisions of the policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
12	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

STATE AMENDATORY INCONSISTENCY ENDORSEMENT

It is agreed that if there is an inconsistency between any terms in this policy and any similar terms contained in the state amendatory endorsement attached to this policy, then the Insurer shall apply those terms which are more favorable to the **Insureds**, to the extent permitted by the law of such state.

However, the above provision shall not apply to the extent that: (a) any state amendatory or other wording expressly limits coverage in order to comply with applicable law, or (b) any such amendatory or other compliance wording amends language applicable to premium.

All other provisions of the policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
13	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

CANCELLATION AND NONRENEWAL ENDORSEMENT – WASHINGTON

It is agreed that:

Except as specifically set forth herein, any Cancellation or Nonrenewal provision in this policy is replaced by the following. If the policy does not contain a Cancellation and/or Nonrenewal provision, the following is added to the policy:

1. Cancellation

- a. The first Named Insured shown in the Declarations may cancel this policy by notifying us or the insurance producer in one of the following ways:

- (1) Written notice by mail, fax or e-mail;
- (2) Surrender of the policy or binder; or
- (3) Verbal notice.

Upon receipt of such notice, we will cancel this policy or any binder issued as evidence of coverage, effective on the later of the following:

- (1) The date on which notice is received or the policy or binder is surrendered; or
- (2) The date of cancellation requested by the first Named Insured.

- b. We may cancel this policy by mailing or delivering to the first Named Insured and the first Named Insured's agent or broker written notice of cancellation, including the actual reason for the cancellation, to the last mailing address known to us, at least:

- (1) 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
- (2) 45 days before the effective date of cancellation if we cancel for any other reason.

- c. We will also mail or deliver to any mortgage holder, pledgee or other person shown in this policy to have an interest in any loss which may occur under this policy, at their last mailing address known to us, written notice of cancellation, prior to the effective date of cancellation. This notice will be the same as that mailed or delivered to the first Named Insured.

- d. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.

- e. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund will be at least 90% of the pro rata refund unless the following applies:

The cancellation will be effective even if we have not made or offered a refund.

- f. If notice is mailed, proof of mailing will be sufficient proof of notice.

2. Nonrenewal



a. We may elect not to renew this policy by mailing or delivering written notice of nonrenewal, stating the reasons for nonrenewal, to the first Named Insured and the first Named Insured's agent or broker, at their last mailing addresses known to us. We will also mail to any mortgage holder, pledgee or other person shown in this policy to have an interest in any loss which may occur under this policy, at their last mailing address known to us, written notice of nonrenewal. We will mail or deliver these notices at least 45 days before the:

- (1) Expiration of the policy; or
- (2) Anniversary date of this policy if this policy has been written for a term of more than one year.

Otherwise, we will renew this policy unless:

- (1) The first Named Insured fails to pay the renewal premium after we have expressed our willingness to renew, including a statement of the renewal premium, to the first Named Insured and the first Named Insured's insurance agent or broker, at least 20 days before the expiration date;
- (2) Other coverage acceptable to the insured has been procured prior to the expiration date of the policy; or
- (3) The policy clearly states that it is not renewable and is for a specific line, subclassification, or type of coverage that is not offered on a renewable basis.

Any notice of nonrenewal will state the precise reason for nonrenewal.

As used herein, "us" and "we" refers to the insurance company named on the Declarations.

As used herein, "you", "your" or "named insured" refers to the person or entity first named as such on the Declarations.

If any provision of the policy contains cancellation or nonrenewal terms that are more favorable to the insured than those provided in this endorsement, then, except where prohibited by applicable state law, the more favorable terms control.

All other provisions of the policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
14	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

IRCA EXPENSE COVERAGE ENDORSEMENT

It is agreed that:

- A. The following is added to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART schedule in the DECLARATIONS:

Expense Coverages	Pending or Prior Date	Coverage Limit	Coverage Retention
IRCA Event Expense	11/15/2024	\$50,000	\$150,000 Each IRCA Event

- B. The **DEFINITIONS** section is amended as follows:

1. The following is added to the definition of **Event**:

Event also means an **IRCA Event**.

2. The following is added to the definition of **Related Event**:

Related Event also means all **IRCA Events** arising out of a single **IRCA Event** or **Related IRCA Events**.

3. The following definitions are added:

- **IRCA Event** means written notice by or on behalf of the Department of Homeland Security ("DHS") that the **Insured Entity** is or may be in violation of section 274A(a)(1)(B) of the Immigration and Nationality Act, as added by the Immigration Reform and Control Act of 1986, (8 U.S.C. §1324a(a)(1)(B)) ("Form I-9 Requirements"); but **IRCA Event** does not mean any notice of inspection or routine audit or subpoena by or on behalf of the DHS.
- **IRCA Event Expense** means reasonable costs incurred by or on behalf of the **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written approval of the Insurer for services performed by a licensed legal professional to audit the **Insured Entity's** policies and procedures to determine compliance with Form I-9 Requirements and assist the **Insured** in responding to an **IRCA Event**.
- **Related IRCA Event** means all **IRCA Events** that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

- C. The following is added to the **EXPENSE COVERAGES** section in the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART:

IRCA Event Expense Coverage

The Insurer will pay **IRCA Event Expense** arising from an **IRCA Event** that first occurs during the **Policy Period**; provided that:

1. the **IRCA Event** is reported to the Insurer in accordance with the **REPORTING OF CLAIMS AND EVENTS** section in the GENERAL TERMS AND CONDITIONS;



2. as of the **First Inception Date** of this Coverage, no **Insured Executive** had given notice to any insurer of any **Related Event** or any act, error, omission, fact, or circumstance, including any **Related IRCA Event**, reasonably likely to give rise to the **IRCA Event**;
3. as of the applicable Pending or Prior Date stated in the DECLARATIONS or, if none, the **First Inception Date** of this Coverage, no **Insured Executive** knew that any **Related Event** had occurred or that any act, error, omission, fact, or circumstance, including any **Related IRCA Event**, was reasonably likely to give rise to the **IRCA Event**.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
15	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

Policy Change Endorsement

It is agreed that the GENERAL TERMS AND CONDITIONS are amended as follows:

I. The **DEFINITIONS** section is amended as follows:

A. The definition of **Application** is amended by replacing “information and” with “written.”

B. The definition of **Claim** is amended as follows:

1. Item 1 is replaced with the following:

1. a civil, criminal, administrative, regulatory, or arbitration proceeding, including any appeal therefrom, or a written demand for monetary relief or non-monetary or injunctive relief, including a written request to toll or waive a statute of limitations or engage in any alternative dispute resolution process.

2. Item a is amended by inserting “or on behalf of” after “by.”

C. The definition of **Defense Costs** is amended by inserting “bail bonds for extradition, if available,” before “appeal bonds.”

D. The definition of **Insured Individual** is replaced with the following:

Insured Individual means any natural person who was or is:

- A duly elected or appointed director or officer of any **Insured Entity** that is a corporation, a manager or managing member of any **Insured Entity** that is a limited liability company, a general partner or managing partner of any **Insured Entity** that is a partnership or joint venture, or the functional equivalent of any of the foregoing.
- A duly elected or appointed trustee (other than a bankruptcy trustee) of the **Insured Entity**.



- A duly elected or appointed member of an advisory board or committee of the **Insured Entity**.
- The **Insured Entity's** duly elected or appointed in-house general counsel, chief information officer, chief technology officer, data protection officer, or the functional equivalent of any of the foregoing.
- A member of any Special Litigation Committee, Special Investigation Committee, or Demand Investigation Committee of the **Insured Entity** or similar committee formed by the **Insured Entity** in response to a **Claim** otherwise covered by this Policy.
- An **Employee**, other than an applicant for prospective employment by the **Insured Entity**, whom the **Insured Entity** indemnifies for **Loss** arising from any **Claim** for such person's **Wrongful Act**.
- An actual or alleged shadow director or de facto director of the **Insured Entity** whom the **Insured Entity** indemnifies for **Loss** arising from any **Claim** for such person's **Wrongful Act**.

E. The definition of **Loss** is amended:

- by inserting “, plaintiff’s attorney’s fees” after “attorney’s fees” in item 1;
- by adding the following to the second paragraph: “The Insurer shall not challenge the application of the law of the most favorable jurisdiction, provided the **Insured** can demonstrate such jurisdiction to be applicable by written opinion from its independent legal counsel.”; and
- by replacing “contract, representation, warranty, guarantee, or other agreement” in item g with “written contract.”

F. The definition of **Sponsored Plan** is amended:

- by deleting “subject to the **New and Former Entities** condition below,”; and
- by deleting “or employee stock ownership plan.”

G. The definition of **Subsidiary** is replaced with the following:

Subsidiary means any entity, other than a **Sponsored Plan**, that is or was under **Management Control**.



II. The **EXCLUSIONS** section is amended as follows:

- A. The **Cyber** exclusion is deleted.
- B. The **Violation of Consumer Protection Law** exclusion is amended by inserting “; except this exclusion does not apply to any **Claim** covered under the **Directors & Officers Liability Coverage** in the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART.”
- C. The **Violation of Wage & Hour Law** exclusion is replaced with the following:

Violation of Wage & Hour Law

based upon or arising out of any actual or alleged violation of **Wage & Hour Law**; except this exclusion does not apply:

- 1. to any **Claim** for retaliation covered under the **Employment Practices Liability Coverage** in the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART;
- 2. to any **Claim** covered under the **Directors & Officers Liability Coverage** in the MANAGEMENT AND ENTITY LIABILITY COVERAGE PART; or
- 3. to any **Claim** against an **Insured Individual** covered under the FIDUCIARY LIABILITY COVERAGE PART for which neither the **Insured Entity** nor the **Sponsored Plan** is permitted or required by law to indemnify such Insured Individual for **Loss** arising therefrom.

- D. The following paragraph is added:

No conduct, fact pertaining to, or knowledge of any **Insured Individual**, if applicable, will be imputed to any other **Insured Individual** to determine the application of any exclusion in this **EXCLUSIONS** section.

- III. The **LIMITS OF INSURANCE, RETENTIONS, AND REIMBURSEMENT** section is amended by adding the following to the first paragraph in paragraph B. **Retentions and Coinsurance**: “Notwithstanding the foregoing, the Insurer will recognize payment of covered **Loss** by an **Insured Individual** or by such **Insured Individual’s** Side-A / Difference-In-Conditions liability insurance carrier for a **Claim** against such **Insured Individual** as reducing the applicable Retention for such **Claim** by the amount of such payment.”

- IV. The **DEFENSE AND SETTLEMENT OF CLAIMS** section is amended:

- by deleting “written” in the first paragraph;



- by deleting the last paragraph in paragraph A. **Insurer's Duty to Defend**; and
- by replacing "on a current basis" in the last paragraph in paragraph C. **When the Insured Defends** with "within 60 days of the Insurer's receipt of invoices therefor that comply with such litigation and billing standards."

V. The **REPORTING OF CLAIMS AND EVENTS** section is amended by replacing "any **Insured Executive's**" in subparagraph A.1.a and "any **Insured Executive**" in subparagraph A.1.b with "the **Named Insured's** chief financial officer, in-house general counsel, or risk manager, or their functional equivalents."

VI. The **EXTENDED REPORTING PERIODS** section is amended by deleting the first two paragraphs in paragraph B. **Optional Extended Reporting Period** and replacing them with the following:

If the **Named Insured** cancels or nonrenews this Policy, the Insurer nonrenews this Policy, or a Change in Control as described in the **Change in Control** condition occurs, the **Named Insured** will have the right to purchase an optional **Extended Reporting Period** to immediately follow the effective date of cancellation or nonrenewal of the Policy or the Change in Control. These optional **Extended Reporting Periods**, one of which will be a six year period, and their respective additional premiums are stated in the DECLARATIONS.

The Insurer must receive written notice of the optional **Extended Reporting Period** elected together with payment of the applicable additional premium within 60 days after the effective date of cancellation or nonrenewal of the Policy or the Change in Control. If the Insurer does not receive payment within such period, the Insurer will not be required to provide any optional **Extended Reporting Period**.

If the **Named Insured** elects to purchase an optional **Extended Reporting Period**, the Insurer will apply any unearned premium due the **Named Insured** as credit against the additional premium due the Insurer for the optional **Extended Reporting Period**.

VII. The **CONDITIONS** section is amended as follows:

A. The **New and Former Entities** condition is amended by inserting ", employee welfare, pension, or benefit plans" after "subsidiaries."

B. The **Other Insurance** condition is amended as follows:

1. The following is added to the first paragraph: "Notwithstanding the foregoing, this Policy shall apply on a primary basis with respect to **Loss** covered under any personal umbrella liability insurance or personal director liability insurance purchased by or on behalf of an **Insured Individual**, or any indemnification or insurance available from or provided to an **Insured Individual** by any shareholder of the **Named Insured**."

2. The following paragraph is added:

If there is any other valid and collectible insurance, indemnity, or bond available to the **Insured** that applies to covered amounts under this Policy excluding **Loss**, then:

1. This Policy shall apply on a primary basis with respect to amounts covered under any **Expense Coverage**.
2. There shall be no coverage under the CRIME COVERAGE PART for such covered loss unless the limit available under the other insurance, indemnity, or bond is insufficient to cover such loss, in which case the applicable Limit of Insurance under the CRIME COVERAGE PART shall be excess over such other limit.

C. The **Payments** condition is amended by replacing the first paragraph with the following:

The Insurer will be entitled to pay **Loss** and other covered amounts as they become due and payable under this Policy without consideration of other future payment obligations. However, if **Loss** exceeds the remaining applicable Limit of Insurance or in the event of the **Financial Impairment** of the **Insured Entity**, the Insurer will:

1. first pay **Loss** that the **Insured Individual** is legally obligated to pay that is not indemnified by the **Insured Entity**;
2. then pay **Loss** incurred by any **Sponsored Plan**; and
3. then pay all other **Loss**; provided that at the written request of the **Named Insured's** chief executive officer, the Insurer will defer payment of such **Loss** as directed in such request.

D. The **Representations and Severability** condition is replaced with the following:

The **Application** shall be construed as a separate application for coverage by each **Insured Individual**. The Insurer has relied on the statements made and information in the **Application**. Such statements and information are the basis for the Insurer's issuance of this Policy, are incorporated in and constitute a part of this Policy, and have induced the Insurer to issue this Policy.

E. The **Subrogation and Recovery** condition is amended by deleting the second sentence in the first paragraph, and by adding the following new paragraphs:



The Insurer will not exercise its right of subrogation against any **Insured Entity** or any direct or indirect shareholder thereof. The Insurer may exercise its right of subrogation against any **Insured Individual** if the **Illegal Profit or Conduct** exclusion in paragraph A in the **EXCLUSIONS** section in the MANAGEMENT AND LIABILITY COVERAGE PART applies to such **Insured Individual**.

Any proceeds remaining after the **Insured** is reimbursed shall be apportioned in the following order:

1. to the Insurer for amounts the Insurer paid and for amounts the Insurer incurred to obtain such recoveries; and
2. the remainder, if any, shall be applied to reinstate the Limits of Insurance.

F. The following conditions are added:

- **Global Liberalization**

If during the **Policy Period**, a Similar Foreign Policy is issued outside the United States to the **Named Insured** that would broaden the coverage afforded by this Policy to the **Insureds** without additional premium, the broadened coverage will apply to this Policy, but only for (i) **Wrongful Acts** or **Events** occurring; (ii) loss **Discovered**; or (iii) **Loss** or other covered amounts incurred; as applicable, on or after the effective date of such Similar Foreign Policy; provided that:

1. such Similar Foreign Policy is maintained by the **Named Insured** in full force and effect; and
2. this condition shall not apply to the DECLARATIONS or any Endorsements attached to this Policy.

For purposes of this condition, the term "Similar Foreign Policy" means any insurance policy issued by the Insurer or any affiliate of the Insurer that provides coverage similar to the coverage afforded under this Policy.

- **Policy Extension Period**

In the event of a Change in Control or the **Financial Impairment** of the **Named Insured** ("Extension Event"), the **Named Insured** will have the right to purchase an extension of the **Policy Period** not to exceed 365 days following the effective date of the Extension Event ("Extension Period"); provided that coverage under the Extension Period may be subject to additional terms, conditions, limitations, or exclusions reasonably required by the Insurer. The Insurer must receive written notice of the Extension Period elected together with payment of the additional premium required not less than 30 days prior to the effective date of the Extension Event, but in no event less than 30 days prior to the end of the **Policy**



Period. If the Insurer does not receive payment within such period, the Insurer will not be required to provide an Extension Period.

Premium for the Extension Period will be fully earned on the effective date thereof. Once in effect, the Extension Period may not be canceled and no **Extended Reporting Period** will be available under the Policy.

All other provisions of the Policy remain unchanged.



Endorsement Number	Effective Date of Endorsement	Policy Number	Premium
16	12:01 a.m. on 11/15/2025	P-001-001394232-02	N/A

Employment Practices Liability Coverage Part Changes Endorsement

It is agreed that:

- I. The DECLARATIONS for the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART are amended by adding the following **Expense Coverage**:

Expense Coverage	Pending or Prior Date	Coverage Limit	Coverage Retention
Public Relations Expense	[PubRelPendPriorDate]	50,000 <u>Indemnity Period</u> 30 days	\$35,000 Each Crisis Event

- II. Solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE, the GENERAL TERMS AND CONDITIONS are amended as follows:

- A. The **DEFINITIONS** section is amended as follows:

- Item 3 in the definition of **Claim** is amended by inserting “or on behalf of” after “a fact-finding investigation by”.
- Item 3 in the definition of **Employee** is replaced with the following:
 - solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, an applicant for employment by, or a prospective employee of, the **Insured Entity**.
- The following is added to the definition of **Event**: “**Event** also means a **Crisis Event**.”
- The following is added to the definition of **Insured Individual**:

With respect to a **Claim** covered under the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, **Insured Individual** does not include any **Employee** defined in item 2.b in the definition of **Employee** unless, at the time such **Claim** is reported to the Insurer, the **Named Insured** instructs the Insurer that such **Employee** should be treated as an **Insured Individual** with respect thereto.



5. Item 3 in the definition of **Loss** is amended by deleting “front pay and back pay included as part of a judgment or award, and”.
6. The following is added to the definition of **Related Event**: “**Related Event** also means all **Events** arising out of **Related Crisis Events**.”
7. The definition of **Wrongful Employment Act** is amended as follows:
 - Item 1 is amended by inserting “military status, political affiliation,” after “based on.”
 - Item 6 is amended by inserting “, disparagement” after “defamation.”
 - Item 10 is replaced with the following:
 10. failure to adopt or enforce adequate employment-related policies and procedures; negligent hiring, training, supervision, or retention of employees; false arrest, detention, or imprisonment; malicious prosecution; or wrongful infliction of emotional distress, mental anguish, or humiliation; “violation of the Family Medical Leave Act; or violation of civil rights; but only when alleged in connection with items 1 through 9 above;”.
8. The following definitions are added:
 - **Crisis Event** means **Publication** during the **Policy Period** that a **Mass Action** was or will be commenced against the **Insured Entity** or that a **Claim** by one or more **Employees** against an **Insured Executive** for harassment was or will be commenced against such **Insured Executive**.

Crisis Event does not include any **Publication** relating to the actual, alleged, or threatened discharge, dispersal, release, or escape of pollutants or any direction or request to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize pollutants, or hazardous properties of nuclear materials.
 - **Indemnity Period** means the maximum number of consecutive days beginning immediately after the **Crisis Event** for which **Public Relations Expense** will be indemnified by the Insurer, as set forth in the DECLARATIONS or, if no such number is displayed in the DECLARATIONS, then **Indemnity Period** means the end of the **Policy Period**.
 - **Mass Action** means any **Claim** brought and maintained by or on behalf of five or more persons against the **Insured Entity** for a **Wrongful Employment Act**.

- **Publication** means dissemination of information in the geographic area of the respective **Insured Entity** by publication in a daily newspaper of general circulation or by radio or television news broadcast.
- **Public Relations Expense** means reasonable costs of a public relations firm or crisis management firm incurred by the **Insured Entity** in excess of the **Insured Entity's** normal operating costs and with the prior written approval of the Insurer to mitigate reputational harm to the **Insured Entity** as a result of a **Crisis Event**.
- **Related Crisis Event** means all **Crisis Events** that have as a common nexus any fact, circumstance, situation, event, transaction, cause, or series of causally or logically connected facts, circumstances, situations, events, transactions, or causes.

- B. The following is added to item 1 in paragraph B. **Reporting of Claims and Events** in the **REPORTING OF CLAIMS AND EVENTS** section:

Solely with respect to the EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, however, if the **Insured** notifies the Insurer in writing of a **Claim** described in item 4 in the definition of **Claim** within 180 days from the expiration of the **Policy Period**, such notice will not be deemed to be a breach of this condition precedent, provided the Insurer has renewed such **Coverage Part** and such notice is given before the end of such renewal policy.

- III. The EMPLOYMENT PRACTICES LIABILITY COVERAGE PART is amended as follows:

- A. The following is added to the **EXPENSE COVERAGES** section

Public Relations Expense Coverage

The Insurer will pay **Public Relations Expense** incurred during the **Indemnity Period** arising from any **Crisis Event** that first occurs during the **Policy Period** or that any **Insured Executive** reasonably believes will occur prior to the end of the **Policy Period**; provided that:

1. the **Crisis Event** is reported to the Insurer in accordance with the **REPORTING OF CLAIMS AND EVENTS** section in the GENERAL TERMS AND CONDITIONS;
2. as of the **First Inception Date** of this Coverage, no **Insured Executive** had given notice to any insurer of any **Related Event** or act, error, omission, fact, or circumstance, including any **Related Crisis Event**, reasonably likely to give rise to the **Crisis Event**;



3. as of the applicable Pending or Prior Date stated in the DECLARATIONS or, if none, the **First Inception Date** of this Coverage, no **Insured Executive** knew that any **Related Event** had occurred or that any act, error, omission, fact, or circumstance, including any **Related Crisis Event**, was reasonably likely to give rise to the **Crisis Event**.

B. The following is added to the **EXCLUSIONS** section:

No conduct, fact pertaining to or knowledge of any **Insured Individual** will be imputed to any other **Insured Individual** to determine the application of any exclusion in this **EXCLUSIONS** section.

All other provisions of the Policy remain unchanged.

AXIS is committed to providing our employment practices liability (EPL) Insureds with creative loss control services to help better manage their employment-related exposures. We are pleased to introduce these new services for our Insureds.

Hotline Phone Service*

A "1-800" hotline to discuss general employment related issues with an attorney from Jackson Lewis P.C., a national law firm with 55 offices and almost 800 attorneys across the United States. The hotline is for receiving a general overview about human resources and employment issues.

Breakfast Seminars

Complimentary attendance at Jackson Lewis P.C. breakfast series programs across the country. The seminars cover EPL topics such as workplace law, FLSA compliance, substance abuse in the workplace, etc. Visit www.jacksonlewis.com/events to get a complete listing of dates, times and venues for a breakfast seminar near you.

Discount on Jackson Lewis Services

10% off Jackson Lewis' regular hourly rates for in-house supervisory training programs; development or review of employee handbooks; application forms; vulnerability audits; counseling about layoffs, adverse personnel actions and similar human resources issues; and other risk management services.

One Free Hour of Legal Services

Through the AXIS Risk Management Service, your company can get one hour of free attorney time to offset the cost of advice.

Insureds will be required to provide their in-force AXIS employment practices liability insurance policy number when contacting Jackson Lewis.

* Questions concerning adverse personnel actions, matters or claims, whether actual or alleged, are outside the scope of the general advice and information provided by the Hotline Risk Management Service. Actual, alleged and potential claims should be reported to AXIS in accordance with insurance policy provisions. The services and rate discounts offered to AXIS' policy holders are through a marketing initiative specifically with Jackson Lewis P.C. and are not transferable to other law firms.

FURTHERING OUR COMMITMENT TO ESG

AXIS addresses Environmental, Social and Governance (“ESG”) issues with a formalized program that focuses on environment as well as diversity, equity and inclusion (DEI). Since 2018, the Company has scaled up its initiatives while increasing our impact and transparency. For more information, visit <https://www.axiscapital.com/who-we-are/corporate-citizenship>.

GUIDED BY EXTERNAL FRAMEWORKS AND COMMITTED TO ESG REPORTING



United Nations
Global Compact

[Read our 2021 UN Communication on Progress.](#)



PSI
Principles
for Sustainable
Insurance

[Read our 2021 disclosure.](#)



[Read our 2021 disclosure](#)



[Read our 2021 disclosure and see website for previous years.](#)

FOCUS AREAS: ENVIRONMENT AND DIVERSITY EQUITY AND INCLUSION

ENVIRONMENT

- Focus on minimizing our operational impact
 - Committed to a science-based aligned target of 50% absolute reduction of Scope 1 and 2 greenhouse gas (GHG) emissions across its global operations by 2030, using a 2019 baseline
- Commitment to renewable energy
 - Top provider of renewable energy insurance
 - Investment in fund focused on climate infrastructure in emerging markets
- Goal to phase out thermal coal business from insurance, facultative reinsurance and investment by 2030 in OECD countries and 2040 globally
- Commitment to further integrate ESG considerations into our underwriting products and practices as well as our supply chain
- Active member of industry organizations addressing climate issues
 - Sustainable Markets Insurance Task Force, chaired by Lloyd's, United Nations-backed Insurance Development Forum, Geneva Association

DIVERSITY EQUITY AND INCLUSION

Implementing 5-point 2021 DEI plan; key action areas - internal education, diverse recruitment, career development, goals/metrics and advocacy

- Goal to achieve global gender parity by 2025; set goals to increase ethnic and women senior representation
- Launched five Employee Resource Groups (ERGs): AXIS Pride, PACE (Parents and Caregivers), EDGE (Ethnically Diverse Group of Employees), Veterans and Women
- Adopted “Flex for Your Day,” our hybrid work model and enhanced benefits such as parental leave policies and flexible work arrangements
- Expanded internal education and engagement, such as annual forums on DEI (past topics: mental health, racial justice)
- Recognized in Bloomberg Gender Equality index in 2023, 2022 & 2021
- Global sponsor of the Dive In industry initiative, focused on DEI

RECOGNITION



#8 of 41 evaluated
insurance companies



ESG Initiative of the
year 2022



Included in the 2023,
2022 and 2021 listings



Recognized as 3+
Company by 50/50
Women on Boards



Commitment to ESG
Top Score



Named one of America's
Best Mid-Size Employers
in 2022 and 2023



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